

Business Studies
Short notes on Unit 1.3.1

1. The market

Mass markets and niche markets

Mass markets refers to a large market. This is when a business sells the same products to all consumers and markets them in the same way. Fast moving consumer goods such as crisps, breakfast cereals, computer software and Coca-Cola are sold in mass markets.

Advantages

- The no. of customers is huge in a mass markets, hence the business produces in bulk achieving economies of scale lowering down the cost per unit.
- Brings in high higher sales and higher profits.

Disadvantages

- However, there is high competition in mass markets therefore, companies need to invest a lot of money in advertising to keep up with the competition.

Niche Market refers to the is a small market segment – a segment that has sometimes gone ‘untouched’ by larger businesses. It involves selling to a small customer group, sometimes with specific needs.

Advantages

- Small firms can often survive by supplying niche markets.
- Since there are no competitors they are able to charge premium prices.

Disadvantages

- However, if a business successfully exploits a niche market it still may attract competition.
- Niche markets, by their nature, are very small and unable to support many competing firms. As a result, if a large business decides to enter a niche market they may find it easy to overrun a smaller rival.
- businesses that rely on a single niche market may be vulnerable because they are not spreading their risk. If they lose a grip in their chosen market, they may collapse because they do not have other products or markets as a back-up.

MARKET SIZE AND MARKET SHARE

Market size

The size of a market can be estimated or calculate by the total sales of all business sees in the market.

Market size can be estimated in a number of ways:

- value: this is the total amount spend by customers buying the products
- volume: this is the physical quantity of products which are produced.

Market share

Market share is the term used to describe the proportion of a particular market that is held by a business.

Market share is shown by a percentage:

$$\frac{\text{Sale of a business} \times 100}{\text{Total sales in the market}}$$

Example

- Sales in the total market (2005) = 2 000 000 units
- Sales in the same market (2006) = 2 200 000 units

The market size has increased by 200 000 units

$$\text{Market growth} = \frac{200\,000}{2\,000\,000} \times 100 = 10\%$$

Why is market share important?

- It might indicate a business that is a market leader, this could influence the leader to maintain its position
- A business with a small market share can set targets to increase its markets share
- Markets share is an indication of success or failure of a business

BRANDS

Branding refers to giving a product a name or a symbol that differentiates it from other products. Branding is particularly important in mass markets where lots of products are competing for a share of the market

Advantages of branding

- Differentiate the product from those of rivals
- Create customer loyalty
- Help product recognition
- Develop an image
- Charge a premium price when the brand becomes strong

DYNAMIC MARKETS

Most markets do not remain the same over time – they tend to be dynamic, which means they are likely to change. They may grow, shrink, fragment, emerge or completely disappear. For example, there is no longer a market in the UK for cassette.

Dynamic markets can have a huge impact on businesses. A failure to adapt in a dynamic market can lead to the collapse of a business. Those businesses that can adapt to changes in dynamic markets are more likely to survive in the long term.

ONLINE RETAILING

It involves shoppers ordering goods online and taking delivery at home

Benefits of online retailing

- Retailers can market their goods to people who prefer to shop from home
- It is easier to gather personal information from customers so that they can be targeted with other products and offers in future
- Selling costs can be made lower as no rent and other utilities in a physical shop
- Marketing costs can be lower via internet than posters and newsletters
- Online retailers can reach more customers
- An online retailer is open 24/7
- Online retailing afford greater flexibility as they can quickly update when necessary
- Distance is no object with online retailing, customers can buy products from anywhere in the world.

HOW MIGHT THE MARKET CHANGE OVERTIME?

1. The size of markets: the size of some markets can remain quite stable over a period of time. However the majority of markets are likely to grow. And some markets decline because the need for a product ceases to exist.
2. The nature of markets: many markets are subject to change. In many markets products are constantly updated, modified and re-launched, the choice available increasing enormously over time. This is the result of new entrant into the market and existing firms widening their ranges and extending their lines.
3. New markets: while some markets decline, it is possible new markets are always developing. One big source of new markets is from the other developing nations like the BRICS (Brazil, Russia, India, China and South Africa). New markets also appear when completely new products are launched.

INNOVATION AND MARKET GROWTH

Markets can grow overtime, some rapidly, some more slowly. Growth in existing market and new markets may occur for the following reasons:

- Economic growth: as people's income rise and living standard rise overtime, the world has more money to spend, as a result businesses can supply more of their output to growing global markets.
- Innovation: businesses can grow through innovation, they can create new wants and need and meet them with new products. A lot of innovation emerge through technological advancements.
- Social changes: changes in society can impact businesses. Example growing no. of working women has led to the growth of child care business centres
- Changes in legislation: new laws can affect markets. For example environmental laws forces businesses to go more renewable sources and produce 'green goods'

- Demographic changes: changes in the structure of the population can affect the size of markets. For example a country with ageing population will increase the market for nursing homes.

ADAPTING TO CHANGE

if businesses do not adapt to market changes, they are likely to lose market share. What might help businesses adapt to market changes?

- Flexibility: businesses need to be prepared for change. One way is to develop a culture of flexibility within an organization. This means that staff have to be trained in a variety of skills and be prepared to change the tasks they undertake in the workplace.
- Market research: businesses must keep up to date with developments in the market. One way to do this is to undertake regular market research. Firms need to be aware of any changes in customers' needs or tastes.
- Investment: businesses that invest in new product developments are likely to survive for longer in the market. Even though research and development is costly, a failure to innovate could be costly.
- Continuous improvement in the increasing competitive environment: businesses need to make continual improvements in all aspects of their operations.. if new product ideas are encouraged, they may gain a competitive edge.
- Develop a niche: if a market is in decline and a business is unable to diversify, it may survive by serving a niche. A niche strategy is appropriate if groups of loyal customers can be served profitably.

HOW COMPETITION AFFECTS THE MARKET

Competition is the rivalry that exists between businesses in a market. It would be rare for a business to operate in a market with no competition. The existence of competition will have an impact on both businesses and consumers in the market.

- **Businesses**: competition puts businesses under some pressure. They will use a range of methods to attract customers such as:
 - Lowering prices
 - Making their products appear different to rivals
 - Offering better quality products
 - Using more powerful advertisements
 - Offering high quality customer services
- **Consumers**: consumers will generally benefit from competition in markets. Such as:
 - More choice
 - Better quality
 - Lower prices

In the absence of competition consumers might be exploited. A business with little competition might raise prices and restrict choices.

THE DIFFERENCE BETWEEN RISK AND UNCERTAINTY

Risk: owners take risks when running a business. This means they take actions where the outcomes are unknown.

Uncertainty: things which are out of control to businesses may impact businesses. This is known as uncertainties in the market. Such influences are very difficult to predict. This means that businesses have to operate all of the time in an environment of uncertainty. Such as:

- A new competitor may enter the market
- Consumer tastes might change
- Government may introduce a new policy
- New technology might arise
- The economy could go to recession
- A natural disaster could occur

2.MARKET RESEARCH

Market research refers to studying a market to gather data, particularly on factors influencing demand for the product

Market research can be done on different areas:

- The market
- Competition
- Promotion
- The product
- Distributing the product
- Pricing the product

What is the purpose/advantage of Market Research?

- **For decision making:** Perhaps the main benefit of marketing research is that it allows a business to make more informed decisions. This is especially important in fast changing markets.
- **Reducing risk:** Without marketing research, a business might spend large sums developing and launching a new product which could prove to be unsuccessful.
- **Providing a link with the outside world.** They would have little or no way of finding out the views of their actual potential customers without doing a market research.
- **Expansion and globalisation:** As markets become ever larger and as new markets open up, marketing research becomes ever more important. In international and global markets, it is impossible for businesses to operate without precise information about the needs of their customers

- **Public relations:** Carrying out market research may be good for the image of a business. Consumers may feel that their views are being considered.
- **Quantify the likely demand for a product:** It is important to find out how much of a product a business might expect to sell in a market.
- **Provide an insight into consumer behaviour:** Some market research is aimed at analysing consumer behaviour. Businesses might be more successful if they can identify and understand patterns of consumer behaviour.
- **Identify and anticipate customer needs and wants:** Businesses will benefit if they can clarify the specific needs and wants of consumers.

Qualitative and Quantitative Research

Research findings can be either qualitative or quantitative.

Qualitative research involves the collection of data about attitudes, beliefs and intentions. Focus groups and interviews are common methods used to collect qualitative data. An example of qualitative research could be face-to-face interviews.

Quantitative research involves the collection of data that can be measured. In practice this usually means the collection of statistical data such as sales figures and market share. Surveys and the use of government publications are common methods of collecting quantitative research data. An example of quantitative research would be a survey.

TYPES OF MARKET RESEARCH

Primary Research: Refers to collecting of raw data. This is information which did not exist before the research began. In other words, it has to be collected by the researcher. It can be either be carried out by a business itself or by a market research agency.

Advantages of primary research

- Recent
- Exclusive use
- Competitive advantage
- To research new competitors
- To identify demands

Disadvantages of primary research

- Expensive as need to hire specialist agency
- Require expert planning and handling
- Time consuming
- Biasness if not carried out properly

Methods of primary market research:

- surveys/questionnaires
- focus groups/consumer panels
- face-to-face/telephone interviews
- product trials/test marketing.

Secondary Research: Taking information from data already collected by others. This is information which already exists in some form. It can be **internal data**, from records within the business or **external data**, from sources outside the business.

- Internal data: this may be collected from existing business documents or other publications, including the following:
 - Existing market research reports
 - Sales figures
 - Annual reports and accounts published by businesses
 - Information about companies available within company websites and intranet.
 - Stock movements
- External data: secondary data will also be available from sources outside the business. Individuals or other organisations will have collected data for their own reasons. Some examples:
 - Information from competitors
 - Government publications of various kinds
 - Data from customer service on complaints
 - Internet web pages
 - General publication related to companies and others

Advantages	Disadvantages
It is relatively easy, quick and cheap to collect, especially if the sources that exist are known. This makes it very useful for smaller businesses.	Data is not always in a form that a particular business would want because it has been collected for another purpose. Adapting it may take time and become expensive.
Several sources may be used. This allows the data to be checked and verified.	Data may be out of date and not relevant, especially in fast-changing markets.
Historical data may be used which can show a trend over time.	Researchers must be aware of bias. For example, company reports and accounts may show figures in the best possible light to satisfy shareholders.
It can be used before carrying out primary research, which helps to establish the most useful questions to be asked in questionnaires.	There may have been problems with the research. For example, the footnotes to research may state that the sample used was too small and that the results may be inaccurate as a result.

▲ Table 4 Advantages and disadvantages of secondary or desk research

Methods of secondary market research market research:

1. websites/social media
2. newspapers/magazines/TV/radio
3. reports
4. databases

Using ICT in market research

Using information Communication Technology (ICT), is crucial to most businesses, regardless of size. It is important to a company aiming to expand and to improve efficiency. The use of good ICT also improves customer services and customer demand.

From database development, website design to market research, translation software, direct mail marketing and training, the application of ICT is critical for a economic success.

Sampling

- Sampling refers to gathering information from a small sample rather than the whole market or population
- A sample is usually used in doing research this is because, it is impossible and costly to include every person.
- it is possible the result can be different if the whole population had been questioned. This is known as sampling discrepancy.

Sample Size

For any sample design deciding upon the appropriate sample size will depend on several key factors:

- No estimate taken from a sample is expected to be exact: Any assumptions about the overall population based on the results of a sample will have an attached margin of error.
- To lower the margin of error usually requires a larger sample size. The amount of variability in the population (i.e. the range of values or opinions) will also affect accuracy and therefore the size of sample.
- Population size does not normally affect sample size. In fact the larger the population size the lower the proportion of that population that needs to be sampled to be representative. It is only when the proposed sample size is more than 5 per cent of the population that the population size becomes part of the formulae to calculate the sample size

Sampling methods:

Random Sampling

- Random sampling involves selecting people in such a way that everyone in the total population has an equal chance of being selected.
- It is important to understand that population here doesn't refer to the whole country or world.
- For example, if you are doing a research to gain the views of the workforce of an organisation, the total population is simply the entire workforce.
- random sample would involve ensuring that each worker had an equal chance,
- Drawing lots or using random numbers is possible.
- A common approach used is using every n th person (systematic random sampling)

Quota Sampling

Aim is to obtain a sample that is "representative" of the overall population; the population is divided ("stratified") by the most important variables (e.g. income, age, location) and a required quota sample is drawn from each stratum

Stratified Sampling:

This is used when there is a need to survey only a specific group of people with certain characteristics related to a specific product. For example, research about a product sold only to men over the age of 50, should only question that age group and gender. Within the selected group it may then be possible to use random sampling technique.

Which sampling method is best?

- There is no one best method
- Each method has its own advantages and disadvantages
- The actual choice depends most on the need for accuracy, the time available and the research budget.
- No method has the guarantee that the 'right' people will be chosen and that those chosen will therefore, fully represent the actual population.

Sampling Bias

A research is done based on study of samples and one has to be careful in choosing samples. A research can be biased because of selection of samples or interpretation of results. A researcher is said to be biased, if favoring one side of the issue. Or if the sample chosen is of the 'same view' people

3.MARKET POSITIONING

Product and market orientation.

Product orientation: Many businesses in the past, and some today, could be described as product orientated. This means that the business focuses on the production process and the product itself. It puts most of its efforts into developing and making products which it believes consumers want and which will sell well.

Product-oriented businesses thus place their emphasis on developing a technically sound product, producing that product and then selling it. Contact with the consumer comes largely at this final stage. There will always be a place for a product orientation. A great deal of research, for example, with no regard to consumer's needs, still takes place in industry, as it

Market orientation: a business that is market oriented is one which continually identifies, reviews and analyses consumer's needs. It is led by the market.

A market oriented business may have several advantages over product oriented:

- Can respond more quickly to changes in the market
- It will be more able to anticipate market changes
- More chances of success

Market mapping and positioning

- Market positioning is focusing a product and its marketing on a particular market segment (also considering the relative position of rivals).
- Where a business's product or brand stands in relation to the products or brands of other businesses.

A target market is the **set of customers sharing common needs, wants & expectations that a business tries to sell to.**

Selecting the target market is one part of the marketing strategy process, and should normally follow an analysis of the available market segments.



The role of market positioning in marketing strategy

Businesses use marketing to create value for customers by making two key decisions:

Decision 1: Choose which customers to serve

This involves:

- **Market segmentation** (analysing the different parts of a market)
- **Targeting** (deciding which market segments to enter)

Decision 2: Choose how to serve those customers

This also involves two important parts of marketing strategy:

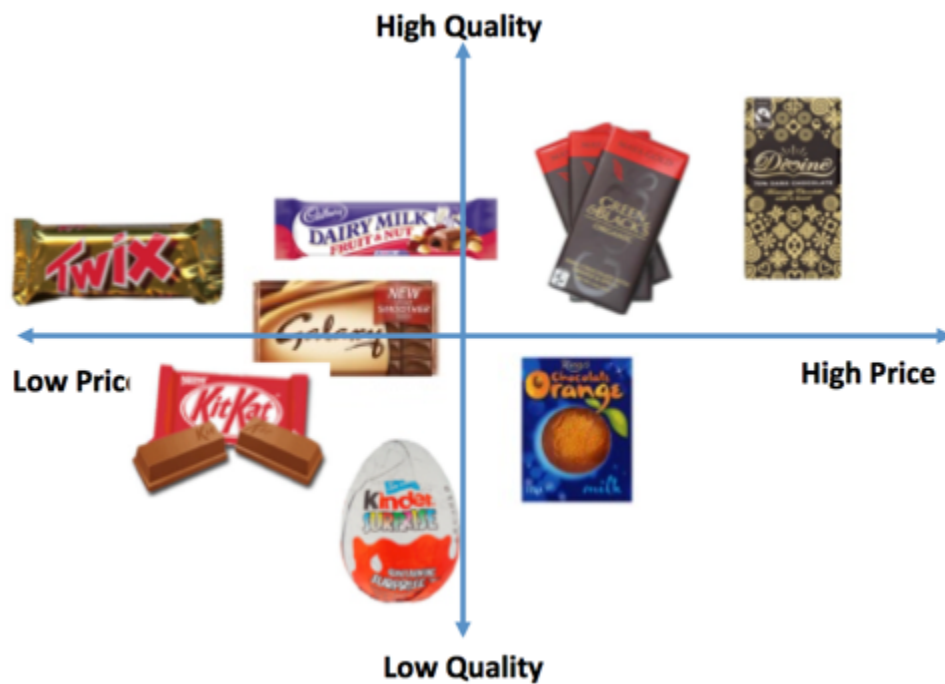
- **Product differentiation** (what makes it different from the competition)
- **Market positioning** (how customers perceive the product)

Having chosen which segments to target – a business needs to decide how to compete in those segments. Marketing people call this choice the **value proposition**. What position will be taken?

It is important to remember that the market position (or value proposition) is defined by customers – the place a product occupies in customer minds relative to competing products.

A useful framework for analysing market positioning is a “**positioning map**”. A market map (or positioning) map illustrates the range of “positions” that a product can take in a market based on two dimensions that are important to customers.

An example of a market mapping for chocolate bars (using dimensions of price and quality) might look like the one below (note: you'll probably disagree with our subjective judgement applied as to where to place certain bars!)



Whilst positioning maps are useful conceptual models, care has to be taken when using them in marketing decision-making:

Advantages of market maps

- Help spot gaps in the market
- Useful for analysing competitors
- Encourages use of market research

Disadvantages of market maps

- Just because there is a “gap” doesn’t mean there is demand
- Not a guarantee of success
- How reliable is the market research?

Market segmentation

Market segmentation is dividing a market into distinct groups of buyers with different needs, characteristics, or behaviour who might require separate products or marketing mixes

Marketing targets: evaluating each market segment’s attractiveness and selecting one or more of the market segments to enter.

Market positioning: setting the competitive positioning for the product and creating a detailed marketing mix.

In segmentation, targeting and positioning, a company must identify distinct subsets of customers in the total market for a product where any subset might eventually be selected as a market target, and for which a distinctive marketing mix will be developed.

BASIS FOR SEGEMENTING

- **Geographic Segmentation** divides the market into different geographic unit such as nations, regions, states, countries, cities, or neighbourhoods.
- **Demographic Segmentation** consists of dividing the market into groups based upon variables such as gender, age, family size, family life cycle, income, education, occupation, religious affiliation, or nationality.
- **Psychographic segmentation** this groups customers according to their attitudes, opinions and lifestyles.
 - Example, sports might be aimed at athletes
- **Behavioural segmentation** attempts to segment markets according to how consumers relate to a product. There are number of methods of behavioural
 - Usage rate: based on quantity and frequency of usage
 - Loyalty: based on their loyalty of product
 - Time and date of consumption: some products are consumed on specific times and dates, hence businesses can take advantage

Advantages of Market Segmentation

- Focusing on specific market segments allows to tailor products to meet the particular needs of those customers to increase brand loyalty.
- Market segmentation helps to directly advertise and promote to specific groups of customers to increase sales.
- Results in more customer satisfaction
- Able to charge premium prices for specific customized markets

Disadvantages of Market Segmentation

- segmentation increases costs. When a firm attempts to serve different groups of customers the cost of production rises as well as research, promotional and distribution costs.
- By focusing on providing to a specific need the danger is that this specialisation could lead to problems if consumers change their purchasing habits significantly.
- The market segments identified may be too small, and may not generate sufficient sales to be viable or profitable for the business

Market Positioning and Competitive Advantage

Remember that customers choose products based on their perception of a product's value proposition – how they perceive the merits of the product relative to the alternatives (competing products).

Therefore, providing a superior value proposition than the competition is a likely source of competitive advantage – but only if it can be sustained.

There are various possible value differences that have the potential to deliver competitive advantage:

Offer more for less: E.g. Aldi: good quality at low prices

Offer more for more: E.g. high-priced luxury products with prestige value

Offer more for the same: E.g. introduce new features & better performance for the same price

Offer less for much less: E.g. no-frills low cost flying and hotels; good quality, back to basics & low price

Competitive advantage

Competitive Advantage refers to the advantage that one company has over another company. It is a unique feature that gives a business an edge over its rivals. Innovation, reputation and relationships are possible ways to acquire competitive advantage. This can also be seen in terms of differentiation of cost leadership.

Adding value

Added value is the difference between the value of the input costs and the final selling price of the product. For example, if it cost £35,000 to make a Porsche and it was sold for £40,000 the added value would be £5,000.

Added value is the concept on which all companies rely to make a profit. This requires consumers to be willing to pay a high enough price because of the **value** they place on the product or service they are offered. If consumers were not willing to pay more than the price of the raw materials, the company could not survive. Companies with competitive advantage can add more value, as consumers are willing to pay more in this circumstance. Apple can charge high prices because of its innovative products; Sony can charge a high price because of its strong brand name over the many years.

A salon may **add value** to their services by providing comfortable waiting areas and serving free beverages to their clients.

Businesses can add value by:

- **Building a brand** – a reputation for quality, value etc that customers are prepared to pay for. Nike trainers sell for much more than Hi-tec, even though the production costs per pair are probably pretty similar!
- **Delivering excellent service** – high quality, attentive personal service can make the difference between achieving a high price or a medium one
- **Product features and benefits** – for example, additional functionality in different versions of software can enable a software seller to charge higher prices; different models of motor vehicles are designed to achieve the same effect.
- **Offering convenience** – customers will often pay a little more for a product that they can have straightaway, or which saves them time.

The **key benefits to a business of adding value** include:

- Charging a **higher price**
- Creating a **point of difference** from the competition
- **Protecting** from competitors trying to steal customers by charging lower prices
- **Focusing** a business more closely on its target market segment

- What can a company do better than their competition?
- What can a company do differently than their competition?
- What will make one business stand out compared to the competition?

1.3.2 THE MARKET

Demand

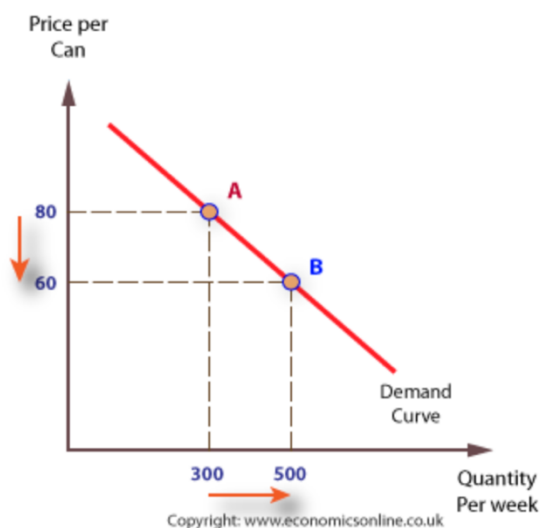
Definition of Demand

Demand is the quantity of a product that a consumer is willing and able to buy at a given price over a given period of time.

Law of Demand

The law of demand states that *ceteris paribus* (other things remaining the same) more will be demanded at a lower price than a higher price.

Typically, there is an inverse relationship between the price of a product and the quantity demanded. This relationship is easiest to see when a graph is plotted, as shown.



Demand **curves** generally have a downward sloping curve indicating the inverse relationship between quantity demanded and price.

Therefore, at a lower price, consumers can buy more from the same money income, and, *ceteris paribus*, demand will rise. Conversely, a rise in price will reduce real income and force consumers to cut back on their demand.

SHIFTS IN DEMAND (occurs due to changes in Non-Price factors)

The position of the demand curve will shift to the left or right following a change in an underlying **determinant of demand** that is those factors other than the price.

Increases in demand are shown by a shift to the right in the demand curve. This could be caused by a number of factors, including a rise in income, a rise in the price of a substitute or a fall in the price of a complement.

Increases in demand

An *increase* in demand can be illustrated by a shift in the demand curve to the right



Decreases in demand

Conversely, demand can decrease and cause a shift to the left of the demand curve for a number of reasons, including a fall in income, assuming a good is a normal good, a fall in the price of a substitute and a rise in the price of a complement.



Factors that affect the Demand that can cause a shift (the determinants of Demand)

A right **shift in demand** curve can occur for a number of reasons:

- **Income.** An increase in disposable income enabling consumers to be able to afford more goods. Higher income could occur for a variety of reasons, such as higher wages and lower taxes.
- **Quality.** An increase in the quality of the good e.g. better quality digital cameras encourages people to buy one.
- **Advertising** can increase brand loyalty to the goods and increase demand. For example, higher spending on advertising by Coca Cola has increased global sales.
- **Substitutes.** An increase in the price of substitutes, e.g. if the price of Samsung mobile phones increases, this will increase the demand for Apple iPhones – a major substitute for the Samsung.
- **Complements.** A fall in the price of complements will increase demand. E.g. a lower price of Play Station 2 will increase the demand for compatible Play Station games.
- **Weather:** In cold weather there will be increased demand for fuel and warm weather clothes.
- **Expectations** of future price increases. A commodity like gold may be bought due to speculative reasons; if you think it might go up in the future, you will buy now

A fall in demand could occur due to lower disposable income or decline in popularity of the good.

Evaluation

For some luxury goods income will be an important determinant of demand. e.g. if your income increased you would buy more restaurant meals, but probably not more salt.

Advertising is important for goods in which branding is important, e.g. soft drinks but not for bananas.

Elasticity of Demand

Price Elasticity of Demand (PED)

PED measures the responsiveness of the percentage change in quantity demanded of a good to a percentage change in price of it.

In other words, PED shows the relationship between price and quantity demanded and provides a precise calculation of the effect of a change in price on quantity demanded.

The following equation helps on calculating PED

$$\text{PED} = \frac{\text{Percentage change in QD}}{\text{Percentage change in price}}$$

We can use this equation to calculate the effect of price changes on quantity demanded, and on the **revenue** received by firms before and after any price change.

For example, if the price of a daily newspaper increases from £1.00 to £1.20p, and the daily sales falls from 500,000 to 250,000, the PED will be:

$$\begin{aligned} & - 50\% / + 20\% \\ & = (-) 2.5 \end{aligned}$$

The **negative sign** indicates that P and Q are **inversely related**, which we would expect for most price/demand relationships. This is significant because the newspaper supplier can calculate or estimate how revenue will be affected by the change in price.

In this case, revenue at £1.00 is £500,000 (£1 x 500,000) but falls to £300,000 after the price rise (£1.20 x 250,000).

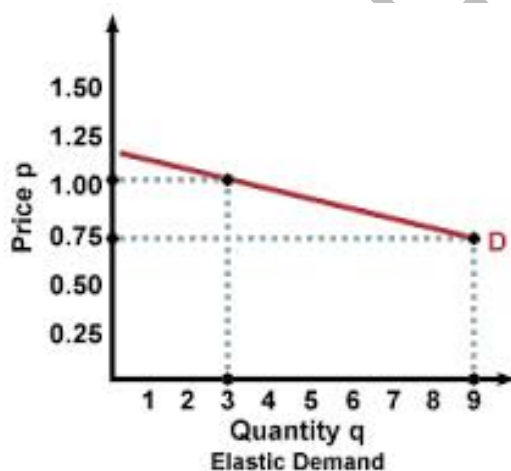
PED can also be:

- Less than one, which means PED is **inelastic**.
- Greater than one, which is **elastic**.

Elastic Demand

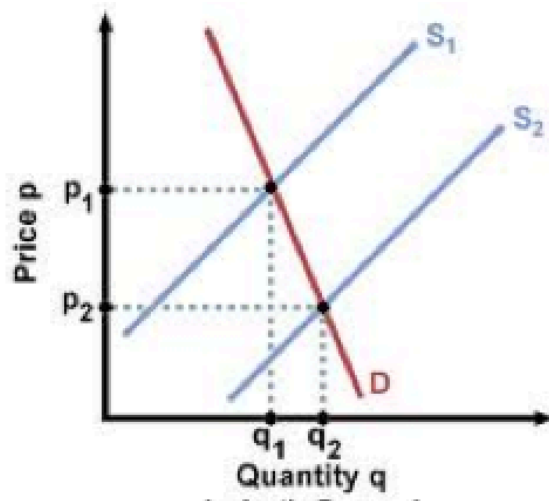
This is when the percentage change in QD is greater than the percentage change in price. PED will be greater than 1.

This means a small change in the price will cause a huge change in the quantity demanded. Therefore, a higher revenue can be earned by lowering the price.



Inelastic Demand

This is when the percentage change in QD is less than the percentage change in price. PED is less than 1



Why does a firm want to know PED?

There are several reasons why firms gather information about the PED of its products. A firm will know much more about its internal operations and product costs than it will about its external environment. Therefore, gathering data on how consumers respond to changes in price can help reduce risk and uncertainty. More specifically, knowledge of PED can help the firm forecast its sales and set its price.

- **Sales forecasting**
The firm can forecast the impact of a change in price on its sales volume, and sales revenue (total revenue, TR). For example, if PED for a product is (-2) , a 10% reduction in price (say, from £10 to £9) will lead to a 20% increase in sales (say from 1000 to 1200). In this case, revenue will rise from £10,000 to £10,800.
- **Pricing policy**
Knowing PED helps the firm decide whether to increase or lower price, or whether to price discriminate. Price discrimination is a policy of charging consumers different prices for the same product. If demand is elastic, revenue is gained by reducing price, but if demand is inelastic, revenue is gained by raising price.
- **Non-pricing policy**
When PED is highly elastic, the firm can use advertising and other promotional techniques to reduce elasticity.

Determinants of PED

There are several reasons why consumers may respond elastically or inelastically to a price change, including:

- The number and 'closeness' of substitutes: A unique and desirable product is likely to exhibit an inelastic demand with respect to price.
- The degree of necessity of the good: A necessity like bread will be demanded inelastically with respect to price.
- Whether the good is habit forming: Consumers are also relatively insensitive to changes in the price of habitually demanded products.
- The proportion of consumer income which is spent on the good: The PED for a daily newspaper is likely to be much lower than that for a new car!
- Whether consumers are loyal to the brand: Brand loyalty reduces sensitivity to price changes and reduces PED.
- Life cycle of product: PED will vary according to where the product is in its *life cycle*. When new products are launched, there are often very few competitors and PED is relatively inelastic. As other firms launch similar products, the wider choice increases PED. Finally, as a product begins to decline in its lifecycle, consumers can become very responsive to price, hence discounting is extremely common.
- The effects of advertising: Firms may use persuasive advertising by to win new customers and retain the loyalty of existing ones. Advertisers use a range of media, including television, press, and electronic media. Advertising will shift demand to the right and make demand less elastic.

Total revenue and elasticity

Total revenue is how much you earn by selling goods and services. Total revenue is calculated by price multiplied by the quantity sold.

If price is increased for those good which the demand is inelastic, the total revenue will increase and vice-versa

- It is a method of estimating the PED by observing the change in total revenue that results from a change in the price, when all other influences on the quantity sold remains constant.
 - If a price cut increases total revenue, demand is elastic
 - If a price cut decreases total revenue, demand is inelastic
 - If a price cut leaves total revenue unchanged, demand is unit elastic.

Income Elasticity of Demand

Income elasticity of demand (YED) shows the effect of a change in income on quantity demanded. **Income** is an important determinant of consumer demand, and YED shows precisely the extent to which changes in income lead to changes in demand. YED can find whether the good is a normal good or inferior good.

YED can be calculated using the following equation:

$$\text{YED} = \frac{\text{Percentage change in QD}}{\text{Percentage in income}}$$

- **Normal goods**

When the equation gives a **positive result**, the good is a **normal good**. A normal good is one where demand is directly proportional to income.

For example, if, following an increase in income from £40,000 to £50,000, an individual consumer buys 40 DVD films per year, instead of 20, therefore the YED is:

$$\begin{aligned} &+100/+25 \\ &= (+) 4.0 \end{aligned}$$

The **positive sign** means that the good is a **normal good**, and if the value is **greater than 1** then it is considered as **Income Elastic** and if the value is positive and **less than 1** it is considered as **Income Inelastic**.

Inferior goods

When YED is **negative**, the good is classified as **inferior**.

For example, if, following an increase in income from £40,000 to £50,000, a consumer buys 180 loaves of bread per year instead of 200, and then the YED is:

$$\begin{aligned} &-10/+25 \\ &= (-) 0.4 \end{aligned}$$

The negative sign means that the good is inferior, and, because the number is less than one, demand for the good does not respond significantly to a change in income. This indicates that the good is not particularly inferior compared with a good which has a YED of > -1 .

Why does a firm want to know YED?

There several reasons why a firm would want to know YED, including the following:

- Sales forecasting

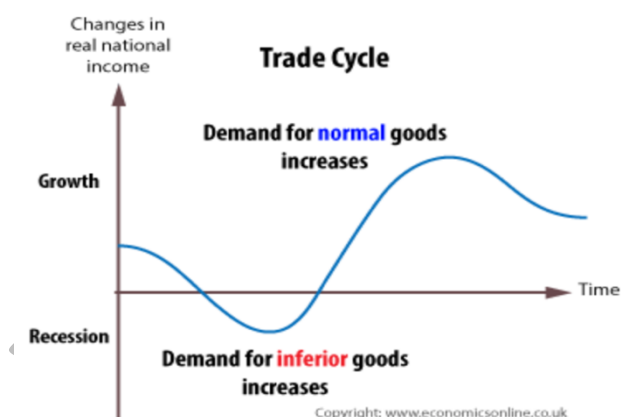
A firm can forecast the impact of a change in income on sales volume (Q), and sales revenue (P x Q).

For example, a hypothetical car manufacturer has calculated that YED with respect to its luxury car is (+) 3.8, and it has also undertaken research to discover that consumer incomes will rise by 2% next year. It can now predict the impact of this change.

YED and the Business Cycle

Changes in real national income tend to be cyclical. The demand for normal goods increases when the economy is expanding but decreases when the economy is contracting. Conversely, the demand for inferior goods is counter-cyclical.

The higher the positive value for YED, the greater the effect of a change in national income on consumer demand.



The Supply

Production is the process of turning inputs of scarce resources into an output of goods or services. The role of a firm is to organise scarce resources to satisfy consumer demand in a profitable way.

Supply is defined as the willingness and ability of firms to produce a given quantity of output in a given period of time, or at a given point in time, and take it to market. Not all output is taken to market, and some output may be stored and released onto the market in the future

Supply and Price

A supply schedule shows the relationship between price and planned supply over a hypothetical range of prices. For example, this supply schedule shows how many cans of cola a school or college canteen would supply in a single week.

The higher the price, the greater the quantity supplied. A supply curve is derived from a supply schedule. The upward slope of a supply curve illustrates the direct relationship between supply decisions and price.

In this case, the supplier of cola would supply 200 more cans at 80p compared with 60p

PRICE (£)	QUANTITY SUPPLIED
1.10	1000
1.00	900
90	800
80	700
70	600
60	500
50	400
40	300
30	200



Price

The **price** of the product is the starting point in building a model of supply. The supply model assumes that price and quantity supplied are directly related.

Non-price factors

As well as price, there are several other *underlying* non-price determinants of supply, including:

- **The availability of factors of production**

The availability of factors of production, such as labour or raw materials, can affect the amount that can be produced and supplied. For example, if a firm producing motor vehicles experiences a shortage of steel for its body panels, then its ability to produce vehicles will be reduced.

- **Cost of factors**

Changes in **costs** will alter a firm's calculation of how much to supply at a given price. For example, if the same motor manufacturer experiences an increase in labour costs due to an increase in the wage rate, the cost of producing each vehicle will rise. This means that the price the manufacturer expects to receive will increase. If the price does not increase, less will be produced, **ceteris paribus**.

- **New firms entering the market**

In terms of total supply to a market, the number of firms in the market will affect the total supply. New firms in a market will increase market supply and firms leaving will reduce supply. New firms may be attracted into a market because of the expectation of profits and existing firms may leave because they cannot cover their costs, and make losses. They may also leave because they cannot cover their **opportunity cost**, meaning that leaving becomes the best alternative.

- **Weather and other natural factors**

Changes in the weather can have a considerable impact on the ability to produce certain products, like farm produce and **commodities**. This tends to affect the primary sector more than manufacturing.

- **Taxes on products**

Taxes on products, such as **Value Added Tax** (VAT), have a direct effect on supply. An indirect tax imposed on a product has an effect similar to that of a cos. which means that increased taxes affect a producer's decision to supply, and how much to supply.

- **Subsidies**

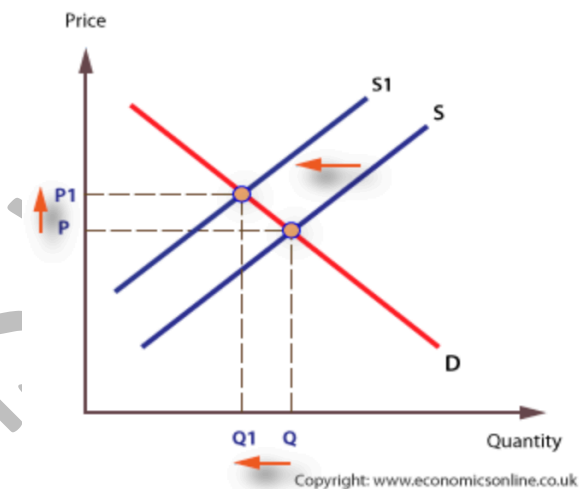
Subsidies are funds given to firms to enable them to increase their supply or to reduce the price of their product to the consumer. Subsidies can alter the firm's willingness and ability to produce and supply.

Shifts in supply

The position of a supply curve will change following a change in one or more of the *underlying determinants* of supply. For example, a change in **costs**, such as a change in labour or raw material costs, will shift the position of the supply curve.

Rising costs

If costs rise, less can be produced at any given price, and the supply curve will shift to the left.



Falling costs

If costs fall, more can be produced, and the supply curve will shift to the right



Any change in an underlying determinant of supply, such as a change in the availability of factors, or changes in weather, taxes, and subsidies, will shift the supply curve to the left or right.

Market Equilibrium

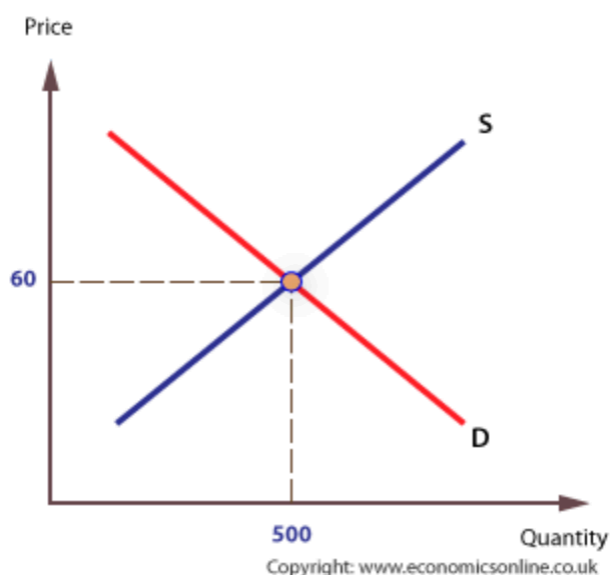
Consumers and producers react differently to price changes. Higher prices tend to reduce demand while encouraging supply, and lower prices increase demand while discouraging supply.

Economic theory suggests that, in a free market there will be a single price, which brings demand and supply into balance, called **equilibrium price**. Both parties require the scarce resource that the other has and hence there is a considerable incentive to engage in an **exchange**.

Equilibrium

As can be seen, this market will be in equilibrium at a price of 60p per soft drink. At this price the demand for drinks by students equals the supply, and the market will clear. 500 drinks will be offered for sale at 60p and 500 will be bought - there will be no excess demand or supply at 60p

PRICE (£)	QUANTITY DEMANDED	QUANTITY SUPPLIED
1.10	0	1000
1.00	100	900
90	200	800
80	300	700
70	400	600
60	500	500
50	600	400
40	700	300
30	800	200



How is equilibrium established?

At a price higher than equilibrium, demand will be less than 500, but supply will be more than 500 and there will be an excess of supply in the short run.

Graphically, we say that demand *contracts inwards* along the curve and supply *extends outwards* along the curve. Both of these changes are called *movements along* the demand or supply curve in response to a price change.

1.3.3 marketing mix and strategy

Marketing objectives

Marketing objectives refer to the goals that a business is trying to achieve through its marketing. It is more effective if the objectives have a target and a time limit.

For example, to increase sales by 10% in the next 3 years

Operating a business without knowing what your objectives is like driving a car without knowing where you want to go.

It is likely that the marketing objectives of a business will vary over time to match its changing marketing needs.

Three key marketing objectives might include the following:

- **Increase market share**: as market grows, a business will have to produce more output hence can exploit economies of scale
- **Increase revenue**: businesses often introduce specific marketing activities in order to boost their revenue, if revenues are higher it is likely that profits will also be higher.
- **Build a brand**: many businesses want to establish the name of their company of their products. They can do this by giving product brand names. Strong brand can generate huge returns for a business.

Product Life Cycle and extension strategies

Product is part of the marketing mix. A business must be aware of its product life cycle for its marketing to be effective

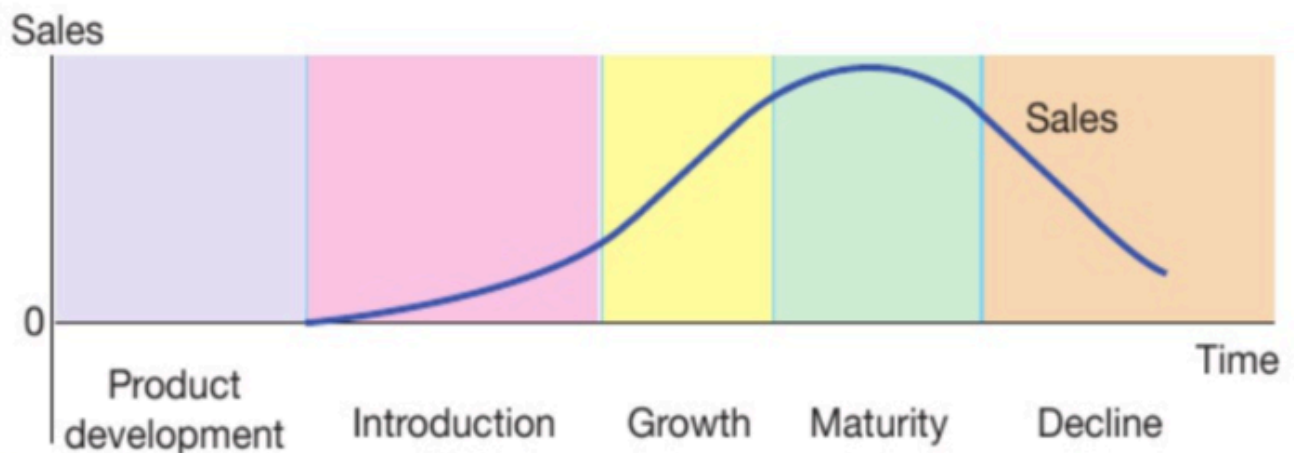
Product life cycle shows the different stages that a product passes through over time and the sales that can be expected at each stage. By considering the PLC, businesses can plan for the future.

What is the product life cycle?

The product life cycle shows the sales of a product overtime. When a new product is launched sales will usually be low because the product is not yet known or proven in the market.

If the product did succeed then it enters the **growth phase** of the product life cycle, that is when new customers buying and existing customers making repeat purchases.

However, at some point sales are likely to stabilize this is known as the **maturity stage**, at some point sales are likely to fall perhaps because customer tastes have changed or competitors might have introduced new products into the market. This is called a **decline phase**.



▲ Figure 2 The product life cycle

Development stage

During development stage, the product is being researched and designed. Suitable ideas must be investigated, developed and tested. If an idea is considered worth pursuing, then a prototype will be produced, and later a design build, and then decide to launch the product or not.

At this stage it is likely that the business will spend to develop the product and costs will be high. There will be no sales at this stage.

Introduction stage

Product will be launched during this stage. Initial sales are likely to be low as it's the introductory stage. Costs are incurred when the product is launched as businesses spend on promotion. The length of this stage will vary according to the product.

Growth stage

Once the product is established and consumers are aware of it, sales may begin to grow rapidly, new customers buy the product and there are repeat purchases. Unit costs may fall as production increases; hence the product then becomes profitable.

At this stage, competitors may launch their own versions. Businesses may need to consider their prices and promotion

Maturity and Saturation stage

The product has become established with a stable market share at this point. Sales will have reached their highest point and competitors will have entered the market to take advantage of profits.

Market becomes more saturated. Some businesses will be forced out of market, as there are too many firms competing. During this stage many businesses use extension strategies to extend the life of their products.

Decline stage

Sales will decline in this stage. This is usually due to changing consumer tastes, new technology or the introduction of new products

Sometimes the product will be withdrawn or sold to another business. It may still be possible to make a profit if a high price can be charged and little is spent on promotion or other costs.

Extension Strategies

When a product reaches the decline stage most companies would try different extension strategies

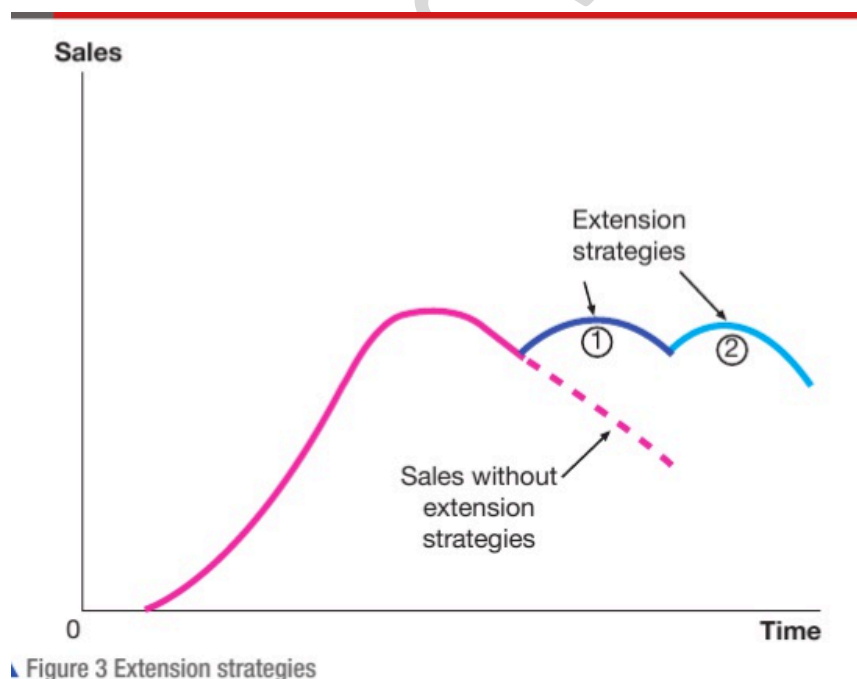
The aim of the extension strategy is to prevent a decline in the product's sale. The two main variables for basing a new extension strategy are the **product adjustment** itself and the way it is **promoted**.

Product adjustments

- Over the years detergents such as Persil have had innumerable "new improved" formulations and relauches, and also presenting the product in smaller packs and also in tablets form.
- The point is to incorporate new product technology and therefore fight off new brand challenges

Promotion

- Simply running a new advertising campaign or switching from traditional to social media does not comprise an extension strategy. Something more substantial and long term is required



- The continual success of products such as Coca-Cola and Kellogg's cornflakes is not just due to luck, it is down to sophisticated marketing techniques that have managed to maintain sales over many years despite fierce competition
- Kellogg's logo is regularly updated, new pack sizes are often introduced and various competitions and offers are used on a regular basis to keep sales high.
- Given the fact that developing a product can involve high costs and that there is a higher failure rate of new products, it is not surprising that, if a product is successful managers will try to prolong sales for as long as it is profitable.

New Product Development

New product development includes the people and processes involved in turning new ideas into products or services ready for launch. It is likely to involve research and development, market research, product engineering and design, plus expertise in packaging, advertising, pricing and branding.

Key influences on successful NPD include:

- A clear understanding of the consumers within a market segment, with a special focus on their future needs and wants
- The creativity to be able to see how an everyday problem or issue can be solved innovatively
- Enough resources (money and manpower) to be able to develop an idea effectively and market it persuasively.

Advantages and Disadvantages of PLC

Advantages

- Some products may have a short life cycle, so PLC can help to know when to launch a new product in the market, as it may help the business to forecast demand for its different range of products
- Help businesses to have a range of products at different stages of their cycle in order to replace that have entered the decline stage
- It can help devise promotional strategies. This model will help make decisions on the established products

Disadvantages

- It is difficult to foresee transitions in product life cycle stages since the key indicator is sales, which are always calculated with some time lag
- Slowing sales doesn't necessarily mean the product has reached the decline phase and the resulting conclusion should be remove the product maybe wrong
- Not all products go through every stage of the PLC and the success of a product will depend on a number of external factors that might be difficult to control

The Boston matrix and Product portfolio

Product Portfolio

If a company has more than one product in line (similar products) a portfolio analysis will help. A well-organized business with one or more products will attempt to phase out old products and introduce new ones

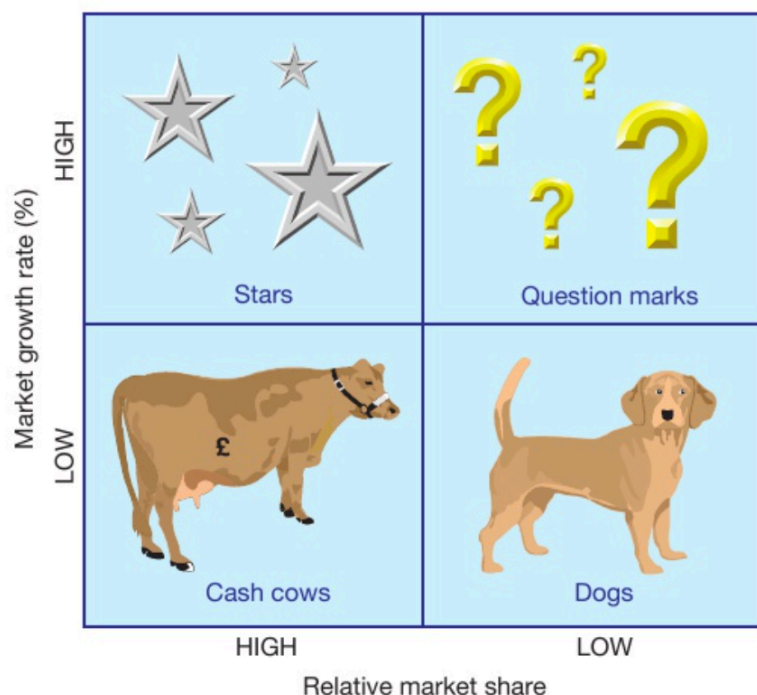
The products are then evaluated in two steps

- Step 1: give a full and detailed overview of all of the products in the current business portfolio
- Step 2: look at the performance of each of the product by examining
 - Current and projected sales
 - Current and projected costs
 - Competitor activity and future competition
 - Risks that may affect performance

A useful technique for allowing firms to analyse their product portfolios is the Product Portfolio matrix developed by the Boston Consulting Group it is sometimes called as the Boston Matrix.

Products are categorized to two criteria:

- **Market growth**: how fast is the market for the product growing? The market maybe declining or expanding. Sales of a product in a fast-expanding market have a better chance of growing than. A product in a mature or declining market.
- **Relative market share**: how strong is the product within its market. How much sales does the business have over its competitors.



STAR: A high share of a growing market

These products are attractive, meaning they are doing well in a successful market. But a business will need to invest in the product to cope with a growing market and growing sales. Cash flow may be nearly zero because investment expenditure is high.

CASH COW: A high share of a slow growing market

- It is well positioned in the market and likely to be profitable
- market it is in will have weak growth. So there will be little chance of increasing sales in future
- Little investment is needed.
- Cash cows bring in strong positive cash flow,

PROBLEM CHILDREN: A low share of a fast-growing market

- This can be a problem, because it is unclear what should be done with these products.
- If a product is performing weak it is unlikely to be profitable, but if the market is growing then it is easy to turn it into a 'star'.
- Cash flow is likely to be zero or negative
- But investment is needed to cope with expanding sales in a fast-growing market.

DOGS: A low share of a stable or declining market

- Poor prospects for future sales and profits
- Maybe able to generate some cash flow because little investment is needed.
- May earn some profit

Businesses can make use of the Boston matrix to manage their product portfolios

Businesses must ensure that their product portfolios do not contain too many items within each category. Too much dogs is not good, but they should also avoid having too many stars and question marks as it involves cost to maintain them.

Products on the top of the Boston matrix are in the early stages of the product life cycle and are in growing markets. So it will require costs, hence should balance them with cash cows. The development cost of cash cows will already be recovered, and promotion costs will be low as it is the highest market share in a low growth market

Taking appropriate decisions:

- products in different categories in the matrix may require different approaches

- Stars have great future potential. They are future cash cows. A business will need to build the brand of these products so that sales increase and competition is fought off successfully.
- Cash cows might be milked for cash, which can then be used to develop other products. Or the business may decide to spend just enough on promotion and development to maintain sales and market share, known as holding.
- For question marks a business has choices. It can build the brand, hoping to turn it into a star, harvest the product by raising price and cutting promotion so that profits are increased, or divest itself of the product, withdrawing it or selling it because it is not making a profit.
- Dogs may be divested if they are not making a profit or in some cases harvested.

Advantages of Boston matrix

- It helps to identify the position of the product in terms of market share and market growth.
- It examines the position of all the firm's products and helps them to decide what to do next.
- It is a marketing tool to help firms with their marketing plan.
- It helps to identify the cash flow position with respect to each product category.

Disadvantages of Boston matrix

- Difficult to plot information accurately
- Different markets may have different market growth so difficulty in identifying the position of the product on the matrix.
- High market share may not mean higher profits whereas this matrix assumes that cash cow always is better than dog.
- Positioning can encourage planners to develop bad habits i.e. the product in cash cow category is usually ignored.

The concept of marketing mix

Marketing mix

In order to market its products effectively a business must consider its marketing mix.

The marketing mix refers

- Product
- Price
- Place
- Promotion

Product

It is important that products meet customer needs, hence the business must address a number of features such as:

- How consumers use the product
- The appearance of a product
- Financial factors
- The product's life cycle
- A products' unique selling point

Price

- The pricing policy of a business is often a reflection of the market at which it is aiming.
- Prices will not always be set at the level which will maximise sales or short-term profits
- Sometimes a higher price might be charged because it is aiming the product to an exclusive target market
- We will study the different pricing strategies in a later lesson

Promotion

- Customers must be given information about products and encouraged to buy them.
- Businesses can choose from a wide range of different promotional methods.
- The strategies will be covered in a later lesson

Place

- Products must be made available at convenient locations at times when customers want to buy them.
- This means that a business must make decisions about the way in which products will be physically distributed.
- It also means taking into account how the product is sold, many businesses are using online methods to sell their products nowadays.

Marketing Strategy

- A marketing strategy is a set of plans that aim to achieve a specific marketing objective
- Strategies will differ from mass market to niche markets

Marketing mix	Mass market	Niche market
Product	Many products would compete, very close substitutes	Significant differences in the product
Price	Prices charged will be similar	More flexibility in pricing, and high prices as less competition
Place	Will use multiple channels to distribute products	Distributed in selective places
Promotion	Heavy investment on advertising	Advertising will be more targeted and specific

Strategies for business-to-business(B2B) and business-to-consumer markets (B2C)

- Many businesses supply goods and services to other businesses.
- The marketing strategies used by companies that sell to B2B are likely to be different from those discussed before, that sell to consumers (B2C)
- In B2B marketing one approach is to distinguish between **outbound** and **inbound** marketing strategies

Outbound marketing strategies

- This involves directing marketing material at potential customers whether they are expecting it or not. This could include:
 - Direct mail
 - Email
 - marketing by telephone
 - Sponsorship
 - Trade shows
- People are increasingly ignoring such adverts, and many people get annoyed when contacted by phone and other similar methods
- It is also reported that potential customers found through outbound marketing cost significantly more to acquire than leads found through inbound marketing.

Inbound marketing strategies

- This involves attracting potential customers to websites when they are looking for suppliers or solutions to problems.
- Some of the common inbound marketing techniques are summarized below
- It is also challenging, as it requires effort and resources to build enough useful content on websites to convert visitors into leads

Method	Description
Blogging	Provide content on company blogs to help draw in potential customers
Social media marketing	Develop a following on social media, such as Twitter, LinkedIn and Facebook
Search engine optimisation	Increase website traffic by getting a high-ranking placement in searches
Free e-books	Offer useful, in-depth information for website visitors to download
Video marketing	Produce short and informative video clips for website visitors
Targeted email marketing	Send personalised emails targeted to people – for example, those who have downloaded a free e-book

Hybrid strategies: This involves a combination of both outbound and inbound methods

How businesses develop customer loyalty?

A business is likely to be more successful if it can persuade customers to keep returning.

How can business develop customer loyalty?

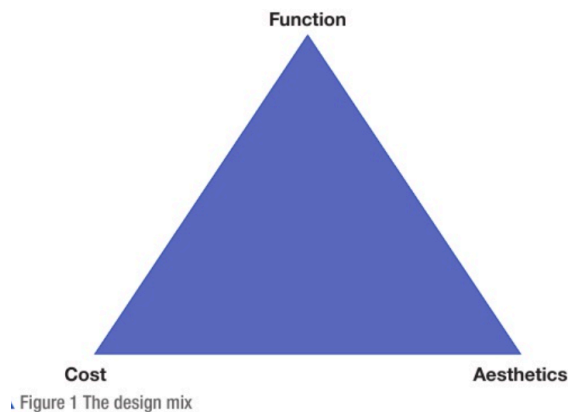
- Communication
- Customer service
- Customer incentives
- Personalisation
- Preferential treatment

Product/Service Design

- Many businesses are keen to bring new products and services to the market. New products and services help to generate more revenue and ensure that businesses remain competitive.
- The process of creating a new product or service is called product design

Design Mix

When designing any product or service a number of Key features must be considered. These features may be referred to as the Design mix.



Function

- A product must be fit for purpose, which means that it must be capable of doing the job that is sold to.
- For eg, a waterproof jacket should not let water in
- It is important for services as well, for example, an internet service provider must provide reliable and safe connection, if they are promising fast internet it should be fast enough as they promise.

Aesthetic

- Products and services should stimulate people's senses in addition to performing a function.
- This is about the product's appeal or outside look
- Designers must consider elements of a product, such as its size, smell or taste, the presentation of the service, because it will impact the choices that customer make

Cost/economic manufacture

- A well-designed product or service is more likely to be economically viable.
- This means that a business should be able to produce and sell the product or service at a profit.
- Businesses often have to reach a compromise between design and cost. If costs are high, products or services maybe dropped altogether.

It is important to note that, each of the elements of the design mix varies from product to product.

Design mix and social trends

- Product designers need to be aware of changes in social trends.
- For example, people have become increasingly aware about the effects their lifestyles on the environment.
- Due to the environment concerns design mix has adopted in different ways
 - Design for waste minimization
 - Design for re-use
 - Design for recycling
 - Ethical sourcing

Benefits to adapting product designs to change in social trends

- Although businesses may have to make an effort to reflect social trends in their designs, which could possibly increase costs, there are likely to be some benefits
 - If they can reduce waste, they will use fewer resources, this will result in low cost and high profits
 - Products are likely to be more popular
 - Some businesses use their USP, making it environment friendly could also be a USP hence creates more demand
 - Businesses will be more viewed as good corporate citizens.

Promotion and Branding

What is promotion?

- An important element of marketing mix is promotion
- Businesses use promotion to obtain and keep customers. However, promotion is also likely to be used to achieve some specific aims:
 - Tell consumers about a new product
 - Remind customers about an existing product
 - Reach a target audience that is spread over a wide area
 - Reassure customers about products
 - Show consumers that rival products are not as good
 - Improve or develop the image of the business
- Promotions can be of two types
 - Above-the-line Promotion
 - Below-the-line Promotion

Above-the-line promotion

- Above-the-line promotion involves advertising in the media
- Advertising may be placed into different categories
 - **Informative advertising:** this means that the adverts are designed to increase awareness of products.
 - **Persuasive advertising:** persuasive advertisements often try to convince consumers to buy a particular brand rather than that of a competitor

- **Reassuring advertising:** it is designed to be comforting and suggest to consumers that they were 'right' to buy a particular product and that they should continue to do so.

Media	Advantages	Disadvantages
Television	Huge audiences can be reached The use of products can be demonstrated Sound and movement can be used Scope for targeting groups with digital television	Very expensive Message may be short lived Some viewers avoid television ads Delay between seeing ads and shopping
Newspapers and magazines	National and local coverage Reader can look back Ads can be linked to articles and features Vouchers can be used Scope for targeting with specialist magazines Relatively cheap	No movement or sound Individual ads may be lost in a 'sea of ads'
Cinema	Big impact with a big screen Can be used for local and national advertising Specific age groups can be targeted Sound and movement can be used	Limited audience Message may only be seen once Message is short lived
Radio	Sound can be used Minority audiences allow targeting Cheap production Can target youngsters	Not visual May be ignored May lack impact Can be annoying or disrupting to listen to
Posters and billboards	Can produce national campaigns Seen repeatedly Good for short sharp messages Large posters can have big impact	Posters can be deliberately damaged by vandals Only limited information can be shown Difficult to evaluate effectiveness
Internet	Can be updated regularly Can be targeted Hits and response can be measured Can be sent to mobile devices For goods available online, there is no delay between seeing ads and shopping for the product online	Some ads such as pop-up ads are irritating Possible technical problems

▲ Table 1 The advantages and disadvantages of selected advertising media

Below-the-line promotion

- Below-the-line promotion refers to any form of promotion that does not involve advertising. It can take many forms:
 - Sales promotions
 - Public relations
 - Merchandising and packaging
 - Direct mailing

Sales promotion

- Incentives used to encourage people to buy products are called sales promotion. There are many ways of sales promotion
 - Free gifts
 - Coupons
 - Loyalty cards
 - Competitions
 - BOGOF offers
 - Money-off deals

Public relation

- Some businesses communicate with stakeholders using public relations (PR)
- The main purpose of PR is to increase sales by improving the image of the business.
- A number of approaches might be used by businesses to attract publicity:
 - Press releases
 - Press conferences
 - Sponsorship
 - Donations

Merchandising and packaging

- Some businesses may arrange the point of sale so that is interesting and eye-catching, and likely to encourage sales. This is called merchandising. Some examples are outlined below:
 - **Product layout:** the layout of products in a store is often planned very carefully to encourage shoppers to follow particular routes and look at certain products
 - **Display material:** posters, leaflets and other materials may be used to display certain products with the aim of persuading customers to buy.
 - **Stock:** businesses must keep shelves well stocked because empty shelves create bad impression. Also if items are out of stock customers may shop elsewhere.

Direct mailing

- This is where businesses mail out leaflets or letters to households
- Sometimes personal letters are used. They may contain information about new products or details of prices changes.
- Some personalized marketing includes:
 - Direct selling or personal selling
 - Exhibitions and trade fairs

Choosing methods of promotion

- Many businesses use a range of different promotional methods.
- Small businesses often have limited budgets so careful consideration is needed when choosing a method of promotion.
- Many factors are considered:
 - Cost
 - Market type
 - Product type
 - Stage in the product life cycle
 - Competitors' promotions
 - Legal factors

Pricing strategies

- A strategy is a set of plans designed to meet objectives. Pricing strategy is part of the marketing strategy of the business. Pricing strategy is therefore a set of plans about pricing, which help a business to achieve its marketing and corporate objective.
- Some pricing strategies are used for new products while some are used for existing products. There are different pricing strategies such as:
 - Cost-plus pricing
 - Price skimming
 - Penetration pricing
 - Predatory pricing
 - Competitive pricing
 - Psychological pricing

Cost-plus pricing

- One method that ensures that all costs are covered is cost-plus pricing.
- It involves adding a mark-up to unit costs.
- The mark-up is usually a percentage of the unit cost.
- It is a very common and easy method used by retailers
- One draw-back of this method is that it ignores market conditions.

WORKED EXAMPLE

The unit cost to a manufacturer of making a plastic rowing boat is £80. The manufacturer adds a mark-up of 25 per cent to get the price. Therefore the price of the boat is:

$$\text{Price} = \text{unit cost} + (\text{mark-up} \times \text{unit cost})$$

$$£80 + (25\% \times £80) = £80 + £20 = \text{£100}$$

Price skimming

- This is applicable to new products
- Price skimming is charging a high price for a new product for a limited period of time.
- The aim of this strategy is to generate high levels of revenue with a new product before competitors arrive and exploit the popularity of a new product while it is unique.
- Common with technically advanced products where a close substitute is not there at the time of launch.
- However, this method works only if the product has a inelastic demand

Penetration pricing

- This strategy also applies to new products.
- Penetration pricing is charging a low price for a limited period.
- The aim of this strategy is to develop a secure initial position in the market from which further progress can be made.
- Businesses assume that by using this strategy customers will be attracted to the product and hope they continue to purchase later even if the price increases.
- Usually it is done when the market is highly competitive.
- It can result in:
 - Grow sales very quickly

- Beneficial is product targeted for middle or low-income, as they are attracted to low prices
- Can put pressure on rivals and they might have to lower price to compete
- However, after the low-price period is over and if customers are not ready to pay the higher price for the product, it can cause business losses

Predatory pricing

- Predatory pricing or destroyer pricing aims to eliminate competitors from the market.
- It involves charging a very low price for a period of time until one or more rivals leave the market.
- In many countries predatory pricing is illegal, this is when if they are selling below cost of production.
- It is illegal because this can cause competitors to drive-away, and the firm remaining can manipulate the customers by charging high prices later.

Competitive pricing

- Competitive pricing is a pricing strategy in which the competitors' prices are taken into consideration when setting the price of the same or similar products.
- The focus is on competition-driven prices rather than production costs and overheads.
- One advantage of competitive-based pricing is that it avoids price competition that can damage the company.
- Disadvantages include that businesses have to attract customers in other ways, since the price will not grab the customer's interest. The price may also barely cover production **costs**, resulting in low profits.

Psychological pricing

- Psychological pricing is a pricing strategy that utilizes specific techniques to form a psychological or subconscious impact on consumers. It integrates sale tactics with price.
- The idea behind it is that customers will read the slightly lower price and treat it lower than the price actually is.
- For eg, \$9.99 looks cheaper to the brain than \$10

Factors that determine the most appropriate pricing strategy

- Differentiation and Unique Selling Point.
- Price elasticity of demand
- Amount of competition
- Strength of the brand
- Stage in the product life cycle
- Costs and the need to make a profit

Changes in pricing to reflect social trends

- Consumers are more aware and better informed than ever, it is possible for social trends to have an impact on pricing strategies.
 - Online sales
 - Dynamic pricing
 - Auction sites
 - Personalized pricing
 - Subscription pricing
 - Price comparison sites

Distribution

- Distribution refers to the location where consumers can buy products from.
- If businesses cannot get products in the right place at the right time they are not likely to be successful.
- If products are not available in convenient locations consumers may not have the time to search for them



Two-Stage distribution

- Some products market their products directly to consumers. Some may use direct selling as well.
- Other methods include:
 - The internet
 - Direct mail
 - Door-to-door selling
 - Mail order catalogues
 - Direct response adverts
 - Shopping parties
 - Telephone selling

Choosing the appropriate distribution channel

- The nature of the products
 - Most services are sold directly to consumers, eg cleaners, hairdressers
 - Fast moving consumer goods like cereals, crisps, cannot be sold directly by manufacturer to consumer. This is because such goods could not be sold effectively by manufactures. Wholesalers and retailers are used because they break bulk

- High quality 'exclusive' products like perfumes will choose the retail outlet very carefully as their image is very important
- Products that need demonstration and explanation such as technical products might be sold by expert salespeople.
- Cost
 - Businesses will normally choose the cheapest distribution channels. They also prefer direct channels. This is because if intermediaries are used they will take a share of the profit.
- The market
 - Producers selling to mass markets are likely to use intermediaries. In contrast, businesses targeting smaller markets are more likely to target customers directly
- Control
 - For some producers it is important to have complete control over distribution. Some products such as heating systems, require expert installation and need to comply with health and safety legislation hence, the producers of such products deal directly with customers.

Changes in distribution methods

- The way in which goods and services are sold is subject to change. Many of these changes reflect technological developments and social trends.
- Examples:
 - A huge growth in online shopping
 - The building of large shopping malls
 - Sellers using call centers to sell products such as financial services
 - Supermarkets extending their product ranges and opening hours
 - Shopping becoming more of a leisure activity for many people
 - A growth in the use of television shopping channels

1.3.4 Managing People

Approaches to staffing

Different businesses have different approaches to the staff. Some view staff as assets, while others view them as costs. These approaches might have implications for the levels of productivity.

The main two approaches are:

- Staff as an asset
- Staff as a cost

Staff as an asset

When employers value their employees and recognize their efforts, it will help the business to perform more effectively. Such employers will therefore try to meet the needs of employees. They might involve providing:

- Acceptable remuneration
- Reasonable holidays, sick leave, maternity/paternity leaves and pensions.
- Job security and opportunities to interact with colleagues.
- Recognition and professional relationships.
- Clear and effective relationship
- Chances for promotion
- Opportunities to solve problems, work in teams and be creative.

Staff as a cost

- If employers view their staff as a cost, their focus is likely to be different. Like any other cost, they will try to minimize it whenever possible. This might involve:
- Paying just the legal national minimum wage
- Using a zero – hours contract.
- Using financial incentives to raise productivity
- Providing the minimum legal ‘employee rights’ in relation to sick leave, holidays pay and working conditions.
- Having penalties for employees who are late, break rules etc. and who incur costs for the business

Flexible workforce

Most businesses prefer to employ a flexible workforce to adapt the changes quickly.

There are several methods of flexible workforce:

- Multi-skilling
- Part-time and temporary
- Zero-hour contracts
- Flexible hours and home working
- outsourcing

Multiskilling: It enables the employees to respond more quickly and effectively to the problems by enhancing the skill of employees.

Part-Time and temporary staff: Part-Time workers are the people who normally works for not more than 30 hours per week. Part time staff can be employed during weekends peak hours in restaurants.

Zero-hour contract

These are also known as casual contracts and are usually offered for “piece work” or “on call work”.

Zero-hour contracts mean that:

- Workers are on call to work when the employer needs them.
- Employers do not have to give them work.
- Employees do not have to work when asked.

Some employers like zero-hour contracts because:

- They help provide a flexible
- cheaper alternative to employing agency staff
- Helps to cover for temporary staff shortages

The advantage to the worker is:

- The opportunity to gain work experience and skills without the requirement to accept full-time contracts

Flexible hours and Homeworking

Flexible hours

The workforce is more flexible if staff work flexible hours. But there are different ways of arranging it

- Staff might have to work a number of hours in a particular time, but have the choice as to when they work during that week
- They might work a reduced number of days, but longer hours each day
- Some may undertake shift work
- One advantage to business of flexible hours is that they can often remain open for longer.

Home workers

These include farmers, shop owners, writers, musicians, telesales people, hotel owners and software designers.

They could be full time or part time and may work at home because it suits their lifestyle/

Businesses can benefit from home working because

- It reduces cost such as office space, equipment, heating and lighting
- Fewer problems with staff absence rates
- Less disruption due to bad weather and transport delays

However,

- Communication problems if staff cannot be contacted
- More difficult to monitor

Outsourcing

- This involves getting other people or businesses to carry out tasks that were originally carried out by people employed by business.
- Outsourcing allows a business to focus on its main capabilities and lets others carry out the surrounding work
- Advantages
 - Costs are lower and capacity can be increased
 - The work maybe done more effectively
- However
 - Loss of control
 - Dependence on suppliers that businesses may develop
 - Employees may respond negatively thinking their jobs are threatened

Advantages and disadvantages of flexible workforce

Advantages

- Flexible business allows to expand and contract quickly.
- Temporary staff can be excellent, well qualified and highly motivated.
- Sometimes temporary staffs are less expensive than full time staff.
- Employing workers who can job share or work flexible hours will increase efficiency.

Disadvantages

- Employing peripheral workers can be a costly process.
- Communication can be a problem.
- Sometimes outsourced work is of poor quality, damaging their reputation with customers.
- There is no guarantee that a temporary staff will perform their job as well as a permanent staff.

Distinction Between dismissal and redundancy

Dismissal: Employee may be dismissed for a number of reasons. Such as joining the trade union, misconduct or employee's incapability of doing a job.

Redundancy: Workers are more likely to be made redundant during a recession or when a business is struggling due to external factors.

Employer and Employee relationship

- If employer and employee develop positive relationships employees will w relatively happy in their work, motivated and productive.
- However, relationships between employees and employer can be difficult. This is because the objective of the two groups are sometimes in conflict, for instance over the following.
 - Rates of pay
 - The introduction of the technology
 - Flexible working
 - Work condition

Individual Approach

- An increasing number of employers develop relationships with employees at an individual level.
- This means that terms of employment and disagreements are settles through negotiation between an individual employee and a representative of the employer.
- With an individual approach, pay and other conditions may vary between employees, those individual with good negotiating skills may get a 'better deal'. This might be a source of conflict in itself. Many argue that individual bargaining in this way favours the employer.
- Individual bargaining usually doesn't take place in larger businesses.

Collective bargaining

- The alternative to individual bargaining is collective bargaining.
- This involves determining wages, conditions of work and other terms of employment through a negotiation process between employers and employee representatives such as a trade union
- One individual in a large company say 10000 staffs, would have little or no influence in determining wages and conditions.
- A representative such as a trade union would have more strength and influence to negotiate for its membership

- For collective bargaining to take place:
 - Employees must be free to join representative bodies, such as trade unions
 - Employees must recognize such bodies as the legal representatives of workers and agree to negotiate with them
 - Such bodies must be independent of employers and the state
 - Bodies should negotiate honestly in their members' interests
 - Employers and employees should accept negotiated agreements without having to use the law to enforce them
- A failure in agreement has resulted in industrial actions in the past, like strikes
- Industrial action like this can damage the employer, employees and customers

Advantages and disadvantages of collective bargaining

Advantages	Disadvantages
• Agreements are transparent and legally enforceable • May be more cost effective to have just one set of negotiations • Rules and terms are more likely to be respected by both parties • Outcomes may be fairer because power between both sides is equalised • Unfair treatment of individual who are bullied or 'favourites' of their managers may be avoided • Employee representatives are democratically elected	• Negotiations can result in more bureaucracy and take longer • The views of individuals are not always reflected by unions • Negotiation costs can be high and are usually met by businesses • A failure to agree can have serious consequences, e.g. strike action • Owners may feel their freedom to manage is compromised

Recruitment selection and training

Recruitment

Recruitment (and selection) means filling job vacancies by defining the job, attracting suitable job candidate and selecting those best suited to fill it. Training means work related education, where employees learn new skills or develop new skills.

Stages in recruitment selection process

1. Identify the type and number of staff needed
2. Prepare job description and job specification
3. Advertise the job using appropriate media
4. Evaluate applicants select and short list for interview
5. Carry out interviews
6. Evaluate interviews and make appointment
7. Provide feedback for unsuccessful candidates

Job description

A job description states the title of a job and outlines the tasks, duties and responsibilities associated with that job. The purpose of job description is to show clearly what is expected from the employee.

Person Specification

Person specification identifies the abilities qualification, experience, skills, attitude and any other characteristics that are required by a job holder in order to carry out the job successfully.

Types of Recruitment

There are mainly two types of recruitment. That is:

- Internal recruitment
- External recruitment

Internal Recruitment

This is within the business. An employee may be chosen to be offered a post.

Advantages of internal recruitment:

- Cheaper
- Familiarity with the work environment
- The qualities abilities and potential of the candidate is known to employer.
- Promoting staff within the company will motivate workers

Disadvantages of internal recruitment:

- No fresh ideas
- Will create further vacancies and still need to recruit staff
- Some workers may feel jealous and demotivated as they are not chosen for the vacant post

External Recruitment

This is when someone is appointed from outside the business.

Advantages of external recruitment:

- Bring in experience of working in different organization to keep the business competitive.
- The employer has more choices of whom to appoint.
- Fresh new ideas
- Can have a bigger pool of people to choose from

Disadvantages of external recruitment:

- More expensive and time consuming
- No guarantee the right person will be found
- May not respect the company values

Cost of recruitment, selection and training

There are mainly two elements of recruitment cost:

- lost output when a replacement is found and inducted
- The process cost of recruiting and selecting a new worker

Recruitment and selection cost

- The human resources department will incur costs when identifying the number and type of staff required
- Administrative costs when checking and updating of job description and job specification
- Advertisement costs
- Time spent handling and sorting the applications
- The interview process can also be expensive
- Sometimes the new worker may negotiate for higher pay than the previous worker adding to the business's cost

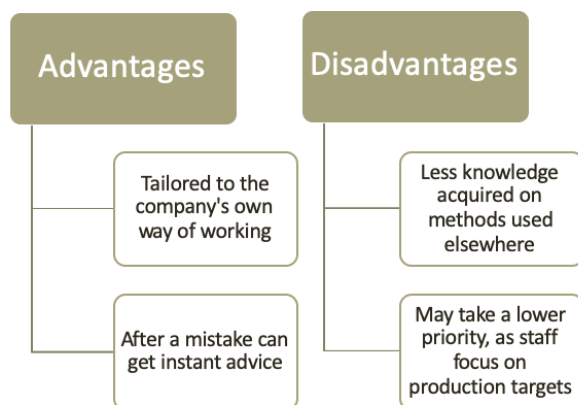
Training cost

- Training is expensive as it includes cost of evaluating its effectiveness.
- Product is disrupted while training is taking place, leading to lost output.
- Newly trained workers may be persuaded up new jobs elsewhere.

Types of Training

- Induction Training: It aims to make newly appointed workers fully productive and familiarizing them with the key aspect of business.
- On the job training: During job employee receive instructive to improve their productivity
- Off the job training: this training takes place away from the immediate work place. It provides the courses which a business internally would be unable to provide.

On-the job training



Off-the-job training

Advantages



- ☐ Output is not affected if mistakes are made.
- ☐ Workers learning can not be distracted by work.
- ☐ Training could take place outside work hours if necessary.

Disadvantages



- ☐ No output because employee do not contribute to the work
- ☐ Some off-the-job training is expensive if provided by specialist
- ☐ Some aspects of work can not be taught off the job

Benefits of training

Managers: Managers will benefit because workers may be better motivated and more satisfied.

Owners: Business will benefit from training if productivity is higher. This means that cost will be lower and a business might gain a competitive edge in the market.

Employee: trained workers are more effective at their jobs. This should reduce anxieties about their work and provide more job satisfaction.

Organization design

Organization structure

- The structure is the way in which positions within the business are arranged
- The organisation structure of the business defines
 - The workforce roles of employees and their job titles
 - The route through which decisions are made
 - Who is responsible and who is accountable to whom and for what activities
 - The relationship between positions in a business
 - How employees communicate with each other and how information is passed on

A small business is likely to have simple structures while larger businesses are often divided into departments with managers.

Hierarchy

- Some businesses produces an organisational chart. These illustrate the structure of the business and the workforce roles of people employed in the business.
- Organisational chart shows
 - How the business is split into divisions or departments
 - The roles of employees and their job titles
 - Who has responsibility?
 - To whom people are accountable
 - Communication channels
 - The relationship between different positions in the business

- The hierarchical nature of the structure shows that employees have different levels of authority and responsibility.
- The chairperson at the top of the **hierarchy** has the most, while apprentices at the bottom have the least.
- Remember not to get confused with **authority** and **responsibility**
- Someone with responsibility is accountable for the work of others
- A person with authority has the right to carry out a particular task or duties

Employee role in the organisational hierarchy

- The positions in an organisation will have particular workloads and jobs allocated to them
 - Directors
 - Managers
 - Team leaders
 - Supervisors
 - Professionals
 - Operatives
 - General staff

Chain of Command

- The hierarchy in a business is the levels of management in a business from the lowest to the highest rank.
- It shows the **chain of command** within the organisation.
- Orders pass down the levels and information pass up.
- Businesses must also consider the number of levels in the chain of command, as each extra level management in the hierarchy reduced the effectiveness of communication.
- No rules are laid down on the most effective number of links in the chain, however, businesses generally try to keep chains as short as possible.

Span of Control

- The number of people or **subordinates**, a person directly controls in a business is called the **span of control**.
- For example, if a production manager has ten subordinates their span of control is 10.
- If a business has a **wide span of control** it means that a person controls relatively more subordinates.
- Someone with a **narrow span of controls** fewer subordinates
- If span of control is wide it might be difficult to manage.

- Employees in the hierarchy will have responsibility and authority.
- Responsibility involves being accountable of being required to justify an action. For eg, managers who are responsible maybe asked to justify poor performance to the board of directors.
- Authority in contrast, is the ability to carry out the task. For eg, it would make no sense asking an office worker to pay company debts if she did not have the authority to sign cheques.
 - Employees at lower levels of the hierarchy have less responsibility and authority than those further up.
 - However, it may be possible for a superior to delegate (pass down) authority to a subordinate.

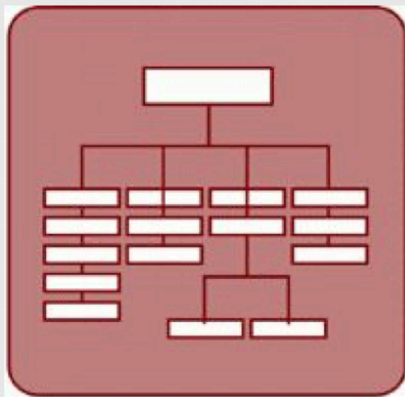
There are mainly three types:

- Tall structure
- Flat structure
- Matrix structure



❧ Tall structure organizations has many levels of management and supervision.

There is a long chain of command running from the top of the organization.

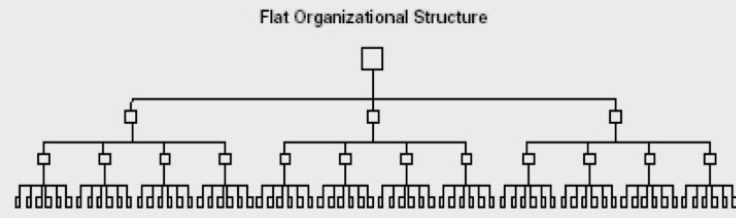


- There is a narrow span of control, that is each manager has a small number of employees under their control. This means that employees can be closely supervised.
- There is a clear management structure.
- Clear progression and promotion ladder.

- The freedom and responsibility of employees is restricted.
- Communication has to take place through many layers of management.
- Decisions making could be slowed down as approval may be needed by each of the layers of management.
- High management costs, because managers are paid more than subordinates.

Flat organizational structure

- ✎ A flat organization structure will have relatively few layers or just one layer of management. That means the 'chain of command' from top to bottom is short.



Advantages of flat structure

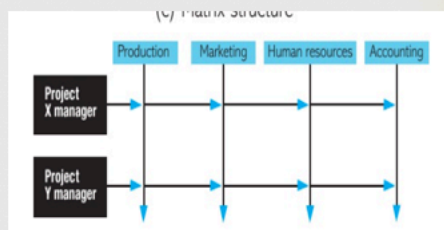
- Greater communication between management and workers.
- Better team spirit.
- Less bureaucracy and easier decision making.
- Fewer levels of managers hence, can cut down salary cost.

Disadvantages of flat structure

- More pressure of work on subordinates.
- May limit/hinder the growth of the organization.
- High training cost and less chances of promotion as levels of hierarchy.
- Decisions might not be in favour of the entire organization.

Matrix structure

- ✎ Matrix structure allow business to connect people with specialist skills.
- ✎ They involve getting people together from different areas in the business to form a project team.
- ✎ Individuals within the team each have their own responsibility.
- ✎ Teams are not fixed and can be made, altered or dissolved to suit the business need at the time.



Advantages of Matrix structure

- The best way of organizing people.
- Based on expertise and skills of people
- Can view employees in a very positive light
- Flexibility and motivation to employees

Disadvantages of Matrix structure

- This method often needs expensive support systems
- Extra administrative and office staff
- Problems may arise in coordinating a team drawn from different departments
- Speed of decision making maybe slow

Delegation

- Delegation means passing authority down the hierarchy of a business, thereby spreading power down towards subordinates at the lower parts of the organization structure.
- Effective delegation could be hugely motivating.
- The key is for a manager to delegate meaningful tasks, rather than simply offloading the difficult or dull jobs.

Benefits from Delegation

- Can motivate staff.
- Makes it easier in future to identify staff with the qualities needed for promotion.
- Allows the boss the opportunity to spend time planning and thinking, rather than doing.

Centralisation vs. decentralisation

Centralisation

A centralised structure is one in which decision-making power and control remains in the hands of the top management levels for all the branches of a company

Advantages of centralisation

- quick decision making to sudden changes in the market
- maintain uniformity within departments and all branches
- can reduce cost as bulk purchase for the entire company can be done by head-office and achieve economies of scale

Disadvantages of centralisation

- The head-office may lack knowledge of other markets, the local managers in different branches may have more knowledge about the changes in market and taste of customers
- Slow in decision making, as every department or branch has to get approval from the head-office
- Staff demotivation, as they feel powerless even though they might head a separate branch or department, as it may give them the feeling of no trust.

Decentralisation

A decentralised structure delegates decision-making power to workers lower down the organization to the heads of other branches or departments

Advantages of decentralisation

- Quicker decision making as they do not have to get approval from the head-office every time
- Improves staff motivation
- Local managers might have better knowledge of the market than the head-office

Disadvantages of decentralisation

- Lower subordinates (local managers) may not have the necessary skills in them to make proper decisions
- Uniformity may be lost within the different branches of the company
- Could increase the cost, as inventory and other materials cannot be bought in bulk and achieve economies of scale
- On mistake in decision making in any other branch may reflect badly on the whole company

Factors that affect the degree of centralisation

- Cost: the greater the cost, the more top management is likely to centralise decision making.
- Desire to uniform policy: if top management desire uniformity, it is likely that decision-making will be centralised.
- Size and character of the organization: in very large organizations especially with diverse product range, it is desirable to decentralise.
- The quality of middle and junior management: a shortage of skilled middle managers will limit the decentralisation process.
- Geographical dispersal: businesses that have branches in different parts of the country or have branches in other countries, would be more effective with decentralisation.

Why is organisational structure so important?

- Poor organisation structure will lead to:
 - Poor communication leading to mistakes
 - Duplication of tasks
 - Tasks being overlooked
 - Different departments failing to work together effectively

Motivation in theory and practice

- Motivation is defined as 'an influence that causes people to want to behave in certain way'. Motivation combined with ability results in performance.
- The motivated worker is:
 - Keen to be at work
 - Takes pride in their work
 - Does not display negative attitude towards the organization
 - Display high level commitment and gets satisfaction out of work

The benefits to the organization because of motivation:

- Higher productivity level
- Lower labour turnover
- Lower absenteeism
- Improved quality with less waste
- Greater willingness to accept rather than resist change

Motivation Theories

There are four main theorist that needs to be studied

- F.W Taylor's Scientific Management
- Maslow and the Hierarchy of needs
- Herzberg's two factor theory
- Mayo's theory

Taylor

- Taylor believed that people work for one reason -money
- He felt that workers should receive a 'fair day's pay for work' and pay should be linked to output through 'piece rates'
- In other words, people were motivated only by the economic motivate of self-interest.
- Therefore, a manager could best motivate a worker by offering an incentive or a threat.

Maslow

- Maslow believed that everyone has the same needs, all of which can be organized as a hierarchy.
- When employees earn enough to satisfy these needs, their motivating power withers away.



Herzberg

- Herzberg has tried to modify Maslow's need Hierarchy theory. His theory is also known as two factor theory or Hygiene theory.
- He stated that there are certain **satisfiers** (motivation) and **dis-satisfiers** (hygiene factors) for employees at work.
 - **Motivators**: these are the factors, which give workers job satisfaction, such as recognition for their effort. It is argued that it will make workers more productive.
 - **Hygiene factors**: these are factors that can lead to workers being dissatisfied, such as pay or condition. Improving hygiene factors should remove dissatisfaction.

Mayo

- He introduced the Human Relation School of thought, which focused on managers taking more of an interest in the workers, treating them as people who have worthwhile opinions and realising that workers enjoy interacting together.
- Conclusion from his theory
 - Better communication
 - Greater manager involvement
 - Working in groups or teams

Incentives to improve employee performance

There are two methods:

- financial incentive
- non-financial incentives

Financial Incentives

- Financial incentives is motivating the worker's performance through money
- There are multiple ways of financial incentives
 - piecework
 - commission
 - bonus
 - profit share
 - performance-related pay.

Piecework

- Recommended by Fredrick Taylor – in the scientific management theory
- This is seen to be the ideal way to motivate workers
- Piece rates are payments for each unit produced
- Workers produce more in order to be paid more
- However, method is only suitable if its easy to identify individual contribution
- Further criticized on health and safety grounds as workers – as it encourages workers to use dangerous practices to reduce time taken to complete tasks
- It also can lead to loss of quality

Commission

- Mainly used for white collar jobs such as for salesperson
- Based on the sales record
- Paying the worker above the basic pay
- Commission- based pay systems are intended to “incentivise’ worker by tying in pay to output.

Bonus

- A payment made in addition to basic wage or salary
- Also can be paid for teams meeting sales targets
- Only paid if targets are met
- some companies routinely given bonus pay to all qualified employees
- Paid only if the company made huge profits

Profit sharing

- Profit is distributed to employees along with shareholders
- United the goals of both owners and workers
- However, individual workers have little or no control over the profits made by companies
- Its unlikely to motivate since profit share received by individual worker will be small

Performance-related pay

- Specifically designed to motivate staff in industries such as Banking
- Giver worker extra pay for achieving targets which can also be a fixed sum of money
- It can also have distinctions between levels of achievement
- Targets set through a system of appraisal
- Performance is reviewed against a set criterion by managers
- Directly links performance to pay thus motivating workers to achieve set goals

Non-financial Incentives

Non-financial incentives refer to when workers are given incentives to motivate other than money.

More businesses have realised that:

- Workers might not see a chance to earn more money as an effective motivator
- Difficult to operate financial incentive scheme
- Individual reward schemes are no longer effective as production has become more organized as group tasks

There are several non-financial methods used to motivate workers

- delegation
- consultation
- empowerment
- team working
- flexible working
- job enrichment
- job rotation
- job enlargement.

Delegation

- Situation in which manager can hand over more complex tasks to subordinates
- Managers have the responsibility, but authority is passed down
- It motivates workers as they feel more trusted

Most likely to work if:

- Only work when the workload is high, otherwise it can be seen as unfair
- Should explain the task carefully and make sure subordinates are skilled to handle it
- Give subordinates complete authority and make colleagues aware of delegation
- Do not interfere in delegated tasks
- Provide support and resources required by employee

Consultation

- When consultations are done when changes are proposed employees may feel more valued thus leading to be motivated
- Managing change is easier if staff are consulted as employees may have better ideas of their own that can benefit the business
- However, it can slow down the process of change
- It might also be seen as a 'shallow' process- workers are heard but then their opinions are ignored

Empowerment

- Delegated decision making can be more successful if employees are empowered

It involves

- Recognizing employees' capabilities – capable of doing more than in the past
- Making employees feel trusted – without constant checks
- Giving decision making power
- Recognizing achievements
- Developing a positive work environment

Advantages of empowerment

- Employees feel more motivated
- Less work stress as they have greater control over work life
- Decisions are made by most suited to make them
- Development in skills

Disadvantages of empowerment

- Empowerment is seen as a means of cutting cost and removing layers
- Increases the employee workload thus workers themselves are unwilling to take the extra work
- Increase the cost of training the workers
- Managers might feel insecure about their post

Team-working

- A team is simply defined as a limited number of people who have shared objectives at work and who co-operate, on a permanent or temporary basis.
- The work allocation is done by the team itself

Advantages of team-working

- Productivity maybe greater due to combined talents
- People can specialize and learn from others on the team
- Shared responsibility encourages risk taking
- Better ideas
- More flexibility

Disadvantages of team-working

- Too much stress on harmony – can hide the difference in thinking which can reduce the positive idea generation
- Disagreements can destroy team effectiveness
- Poor preparation
- Some tasks are done better alone
- Unnecessary meetings

Flexible working

- Can cope with small changes in demand more easily and extend opening hours
- However, it can motivate workers
- Staff can choose their hours of work, work from home or take lengthy periods of leave.

Job enrichment

- Attempts to give employees greater responsibility for planning a task, control, work supervision
- It gives a challenge to employees – help develop unused skills
- Its unlikely for all employees to react in the same manner
- Trade unions argues that it is an attempt to reduce the labour force, and disputes about payments for extra work can arise

Job rotation

- It is transfer of employees from one job to another in a scheduled manner.

Advantages

- Greater variety of tasks and opportunity of changing the actual working environment
- Employees become more flexible in their abilities
- Can cover holidays and absences more easily

Disadvantages

- Resistance by employee especially theory x.
- Training requirements

- While transfer from one job to other, there could be breakdown of work assignments.

Job enlargement

- It is an extension of job responsibilities horizontally. It means giving more variety of work to do within the same level.

Advantages

- Wider variety of work
- Less dependent on colleagues
- High morale
- Work with own pace without disturbance

Disadvantages

- Additional equipment and space is needed
- Training requirements
- Staff become more quickly familiar
- Overburden

Advantages of financial Incentive

- Financial methods can motivate the worker and help them remain in the company, based on Taylor's theory.
- Some employees prefer the incentive of financial rewards such as bonus payments or profit share, because there is a direct link between how hard they work and the reward they will receive
- Financial rewards are important to attract good employees, especially if the competitor companies are rewarding employees financially

Disadvantages of financial incentives

- Might be costly to the business
- Some employees may not be motivated by money
- Different employees will be motivated by different techniques
- Bonuses can be paid only if the business makes a huge profit
- Some staffs who do not receive the bonus or financial reward may feel unhappy
- Sometimes it will be difficult to give piece rate system rewards if you can't measure the output, especially in a service business.

Advantages of non-financial incentives

- When employees are rewarded through a performance review it promoted well being with the employees according to Herzberg
- Some staff maybe more motivated by allowing greater independence rather than through financially
- Company may achieve higher levels of motivation from the use of empowerments as this may fulfil the self-esteem needs of employees based on Maslow's theory

Disadvantages of non-financial incentives

- Some people may still prefer money as a motivator
- Non-financial incentive like consultation may consumer a lot of time by the management
- Different employees will be motivated by different techniques may be motivated differently to employees working in the different department
- Non-financial incentives like delegation, empowerment can be done only if the employee have the skills

Leadership

Leadership: The action of leading a group of people or an organization.

This is the capacity of a **company's** management to set and achieve challenging goals, take fast and decisive action when needed, outperform the competition, and inspire others to perform at the highest level they can.

Leadership, at its best, means inspiring staff to achieve demanding goals.

Management	Leadership
Management plan to achieve their objectives, organize resources, exercise control.	Leaders are visionaries.
Lower down the hierarchy.	Leaders carry the process of change
Motivating and communicating staff and giving them training opportunities.	Leaders excel at motivating the people around them to bring the change in them and organization.

Characteristics of Leadership

- Effective leadership have a positive self-image, backed up with a genuine ability and realistic ambition.
- Leaders need to be able to get to the 'core' of a problem and have the vision and commitment to suggest radical solution.
- Studies of leaders suggest that they are expert in particular field and well-read in everything.
- Leaders are often creative and innovative; they tend to seek new solutions to problem.
- Leaders often have the ability to sense change and can respond to it.

Leadership styles

- There are mainly four leadership styles
 - AUTOCRATIC
 - PATERNALISTIC
 - DEMOCRATIC
 - LAISSEZ-FAIRE

Autocratic leadership

Managers set objectives, allocates task and insists that instructions are obeyed. This style of leadership results in little team-work, and need high level of supervision, and poor levels motivation among employees.

Advantages	Disadvantages
It allows for fast decisions to be made.	There can be a lack of accountability within its structures.
It improves overall communication	It may create an unwelcome culture within the organization.
It improves productivity. It handles crisis situations effectively	The autocratic leadership style is highly dependent upon the leader.
It reduces employee stress.	It is a leadership style that is based on a lack of trust.
	This leadership style makes it difficult to correct poor results.

Paternalistic Leadership

Paternalistic leaders are similar to autocratic leaders. They make all the decisions and inform the employees about the decisions and expect subordinates to obey these decisions. In paternalistic the employee feels they are well taken care of, as the manager oversee how the workers are doing and identify difficulties faced by them at work.

However, whereas an autocratic leader may be uninterested in the well-being of subordinates.

Advantages	Disadvantages
• Feedback being invited, thus improving morale • Overall staff turnover and absenteeism rates will be low • Decisions taking employees' best interests into account and • The employee is rewarded when well behaved • Employee loyalty, lower turnover due to emphasis placed on social needs.	• Low staff motivation if loyal connection to management is not established. • Increasing dependency of employees on the leader leading to more supervision required • Dissatisfaction in employees if bad decisions are made. • Like a parent would have to, sometimes the employee would be looked after like a child, making it awkward for the employee

Democratic Leadership

A democratic leadership style encourages involvement in decision making. Following are the types of democratic leadership.

- **Persuasive** This is where a leader has already made a decision but takes time to persuade others that is a good idea.
For example, the owner of a business may decide to employ outside staff for certain jobs and persuade existing staff that this may ease their workload.
- **Consultative**: This is where a leader consults employees about their views of the marketing department about whether to launch a new products may be considered.

Advantages	Disadvantages
Solution for Complex Problems They have the ability to work collaboratively, using a consensus of opinions to get things done the right way.	Can Appear Uncertain In a situations of crisis, leaders must be very directive and democratic leaders do not "function well in an authoritarian role".
Foster Creative Environments They encourage the input and innovation of team members	Time Consuming Democratic leaders cannot usually work to the timescales required.
Strong Teams are Built by Democratic Leaders Team members under democratic leadership tend to be supportive and strong.	Become Apologetic Democratic leaders will have to invest time in apologizing and smoothing things over with individuals whose ideas were not used.

Democratic style leadership might be more effective for a number of reasons

- Democratic management reflect that there has been increased public involvement in social and political life.
- Increasing income and educational standard means that people now expect greater freedom and better quality of working life.
- Managers are able to 'tap into' the ideas of people with knowledge and experience. This can lead to better decision being made.
- People involved in decision making are more likely to be more committed and motivated and trust managers who take those decisions.

Laissez-faire leadership

A laissez-faire leader provides others with the proper tools and resources needed and then moves away.

- The leaders give little guidance and directions and allows others the freedom to make decisions.
- The leadership is highly effective when the group members are highly skilled, experienced, motivated and capable of working on their own.

However, it is not dealt in many situations.

- Some people are not capable at setting their own deadlines or managing their own projects.
- Some people in the group may also lack motivation needed to get certain tasks done on time.

Advantages of Laissez-faire:

- It allows team members to maximize their own leadership skills.
- It provides the people with the most experience to shine.
- It creates an environment of independence.
- It encourages team members to explore new ideas.
- It allows individual teams to create their own environment.

Disadvantages Laissez-faire:

- It downplays the role of the leader on the team.

- It can be difficult to adapt to changing situations.
- It is a leadership style which employees can abuse.
- It allows leaders to avoid leadership.
- It changes how accountability is assigned within the group.

Moving from entrepreneur to leader

The need for formality:

In large organizations, where the entrepreneur becomes a leader, there is need for formality. Communication between thousands of employees require system and formal structures. There will be a need for formal organizational structure so that the business can be controlled.

The need for shared ownership:

when businesses grow, they need capital to fund expansion. Entrepreneurs begin their business life as sole owners, but often end up having to share ownership with others.

Greater responsibility to others:

When a business grows into corporations the number of people employed could be tens of thousands or more. The livelihood of these people depends on the decisions made by leaders.

The need for motivation and inspiration:

As entrepreneurs develop into leaders, there is a greater need for motivational skill. Some people are self-motivated, but most people need encouragement and well-defined goals, which leaders have to provide.

The need for strategy and vision:

As the business expands, specialists undertake most of these tasks such as marketing, administration, and finance. The leader becomes more concerned with designing business strategies and providing a vision for the future direction of the business.

Difficulties in developing from an entrepreneur to a leader

- Adapting the mindset
- Stress
- Sharing ownership and control
- Trust
- Lack of leadership qualities

Overcoming difficulties

- Delegation and trust
- Earn respect
- Maturity and experience
- Education
- Reduce stress

VIHS VIHS VIHS VIHS

Chapter 1.3.5: Entrepreneurs and leaders

ROLE OF AN ENTREPRENEUR

Entrepreneurs are people who takes the initiative and risk of setting up a business which they control, manage and monitor

CREATING AND SETTING UP A BUSINESS

- **The role of entrepreneurs:**
 - Innovators as they try to make money out of a business idea
 - Responsible for organising other factors of production (involves giving instructions, making arrangements, and setting up systems)
 - Have to make all the key decisions
 - Risk takers (at the risk of losing money if it fails)
- **Risk and rewards: for entrepreneurs**
 - Starting a new business offers the potential for high rewards, a chance for many people to do something different and it also gives an opportunity to work for yourself rather than someone else
 - Can be risky as if business falls there may be debts to be paid. It would also be difficult to get into a normal job
 - The risk of failure can be a huge motivator even with challenges
 - A successful entrepreneur will have lower opportunity cost
 - An unsuccessful entrepreneur will have higher opportunity cost and is likely to move on to something else
- **Business ideas (How do entrepreneurs find ideas?)**
 - Business experience (existing job/most risk free/knows the market already)
 - Personal experience (hobby)
 - Skills (their own broad skill base)
 - Lifestyle choices (retiring but do not want to stay working/caravan site)
- **Stages in setting up a business:**

Setting up a business in an organized and systematic way will help reduce the failure
“Failing to plan is planning to fail”

 - 1) Idea
 - 2) Research (analysing/getting advice/attending courses)
 - 3) Planning

- 4) Finances
- 5) Location
- 6) Resources
- 7) Launch (may organize an opening event/special launch so people become aware)

RUNNING AND EXPANDING OR DEVELOPING A BUSINESS

Other tasks that owners are required to undertake

- Financial management:
Reducing cashflow forecasts, arranging loans and overdrafts/making payments
- Administration:
Accurate record keeping – example; send out invoices, keep stock records, process wage slips, deal with tax authorities, comply with legislation
- Marketing:
Promotion, developing relationships with customers, market research
- Purchasing:
Get best quality resources at the lowest price possible/develop relationships with suppliers. Explore new opportunities in the supply chain/develop negotiating skills
- Managing people:
Recruitment, selection, training/developing skills in managing and motivating
- Production:
Monitor product quality and consistency/consider health and safety issues in the factory/ensure that production levels match orders

It is clear that once the hard work of setting up a business has been done, it does not get any easier. The pressure on entrepreneurs can be considerable and because their livelihoods depend on its success, running a business can be stressful.

INTRAPRENEURSHIP:

Intrapreneurs are employees who use entrepreneurial skills, without having to risk their own money, to find and develop initiatives that will have financial benefits for their employees

- If it fails, the employer shoulders the financial burden

Advantages of employing entrepreneurial staff:

- Can drive innovators in a business and uncover new commercial opportunities, this helps business gain a competitive edge and increase profits significantly
- Means of satisfying the self-actualization needs of employees (highest level of needs according to Maslow's)
 - Employees are being given the opportunities to be creative and reach their full potential
 - Helps to motivate staff and raise productivity
- If they manage to develop unique or ground breaking products they can win a number of awards
 - Awards are prestigious and can help to enhance the image of the business & attract free PR/promotion
- Individuals benefit by getting an opportunity to experiment and be creative without having to meet the cost of failure
 - Improves job satisfaction and develop entrepreneurial skills to help them in the future

BARRIERS TO ENTREPRENEURSHIP *(read details on page 146)*

- 1) Lack of finance
- 2) Lack of entrepreneurial capacity
- 3) Becoming an employer
- 4) Legal barriers (red tape)
- 5) Lack of ideas
- 6) Fear of failure
- 7) Aversion to risk
- 8) Corrupt and unsupportive environment

RISK AND UNCERTAINTY

ANTICIPATING RISK:

- Entrepreneurs have some control over risk. They make a conscious decision to take a risk and to a certain extent they can choose the levels of risk they take
- Entrepreneurs can take measures to reduce the risk they take by testing and using quantitative techniques when making decisions. This often helps to measure the possible outcomes of action, which makes them easier to evaluate

ANTICIPATING UNCERTAINTY:

- Dealing with uncertainty is more of a problem for entrepreneurs as they have no control over the nature and timing of some events

- Level of uncertainty could result in business postponing or cancelling investment projects
- Entrepreneurs can use methods such as pestle analysis, SWOT analysis, risk assessment and scenario planning to help reduce uncertainty, prepare for unexpected events, and improve the quality of decision making

CHARACTERISTICS OF ENTREPRENEURS *(read page 148 for details)*

- 1) Self-confidence: successful entrepreneurs are people who believe that they are going to succeed.
- 2) Self-determination: successful entrepreneurs are ones who think they can take control of events going on around them
- 3) Being a self-starter: being initiative is a feature that must be present with a successful entrepreneur. They should be able to work independently and can take decisions.
- 4) Judgement: successful entrepreneur is someone who gathers information and listen to advice, and be able to make decisions.
- 5) Commitment: running your own business can sometimes be more stressful because of the risks that are always present. So successful entrepreneurs are ones who are committed to what they do.
- 6) Perseverance: all businesses have successes and failures. There is always an element of risk that the business could fail. Successful entrepreneurs have to show perseverance, meaning they should be able to get through bad times and setbacks and not give up when things go bad.
- 7) Initiative: successful entrepreneurs are able to take initiative in situations. They will be proactive.

SKILLS REQUIRED BY ENTREPRENEURS *(red page 151 for details)*

- 1) Organising
- 2) Financial management
- 3) Communication
- 4) Managing people
- 5) Decision making
- 6) Negotiating
- 7) IT skills

REASONS WHY PEOPLE SET UP BUSINESSES:

- Financial motives:
 - Profit maximization: An attempt to make as much profit as possible in a given time periods

- Likely to take bigger risks as there is usually a direct risk and reward
- Profit satisficing: Making enough profit just to satisfy the needs of the business owners (may be to not take extra responsibility of expanding or for flexibility of lifestyle)
- Nonfinancial motives:
 - Ethical stance: In support of a moral belief they possess (vegetarian may open a vegetarian restaurant to promote less animal killing)
 - Social enterprise: These are organizations that trade with the aim of improving human and environmental well-being
 - Independence: “be your own boss”
 - Home working: Flexibility

BUSINESS OBJECTIVES

Aims: What a business tries to achieve in the long term

Objectives: The goals or targets set by a business to help achieve its long-term purposes (aims)

Reasons why businesses should have objectives:

- Motivates employees. They need something to work towards. Gives them a sense of direction
- Without objectives owners might not have the motivation needed to keep the business going. They may lose control and allow their business to come passive and aimless leading to business failure
- Helps owners during decision making (what steps are necessary)

SMART (*how objectives should be set*):

- **Specific** (stating clearly what is trying to be achieved)
- **Measurable** (can be measures quantitatively)
- **Agreed** (have the approval of everyone involved)
- **Realistic** (able to be achieved given the resources available)
- **Time specific** (have a stated time by which they should be achieved)

MOST IMPORTANT OBJECTIVES

- 1) **Survival**: survival becomes an objective for many businesses such as:
 - a start-up business first objective would be survival.

- when a business is faced with high competition survival could be an objective.
 - When market conditions are bad, for ex, through a recession or pandemic
- 2) **Profit maximization:** profit is the aim of most businesses, but some businesses want to maximise profit by cutting cost or increasing revenue by charging high prices. This strategy is usually used in the luxury market for eg, like jewellery and designer clothes. The prices are charged high as the demand for these goods are by wealthy customers who does not care about the price.

OTHER OBJECTIVES *(how they can be achieved – page 156-158)*

- 1) **Sales maximization:** some businesses may want to sell as much as they can in a particular period of time. Usually done to win a larger share market.
- 2) **Market share:** trying to increase market share is a objective of many businesses. A larger market share means market dominance and more profit. Also larger output will be produced to cater the larger number of customers and hence cut down cost.
- 3) **Cost efficiency:** It is an objective that might be pursued when trading conditions become difficult due to more competition or an economic downturn. However, some companies may cut costs all the time as it will increase profit. Variety of methods can be used to cut costs:
 - lay off staff to cut labour costs
 - find cheaper raw materials
 - increased recycled materials
 - develop ways of saving energy
 - develop new working practices that use fewer inputs
- 4) **Employee welfare:** some businesses put an emphasis on keeping the staff happy. The happier the staff, they tend to be more productive, more co-operative, more flexible and less likely to leave.
- 5) **Customer satisfaction:** meeting customer needs is an important objective. If customers are satisfied it is likely they will be returning back hence win customer loyalty.
- 6) **Social objectives:** a business that sets social objectives is one that shows concern for the local area. This can develop a strong relationship with the local community so it can co-exist. This involves

- Keeping noise levels down
- Maintain sensible opening hours
- Showing respect to environment
- Providing employment for local people
- Maintaining open channels of communication
- Making contributions to community

EXAM HINT

You need to appreciate that a business may pursue more than one business objective. For example, an established business might be trying to increase its market share, cut costs and improve employee welfare all at the same time. Also, the objectives of a business are likely to change over time. For example, when a business is first set up the main objective might be to survive the first 2 years. The next objective might be to build market share, and then further on in time, to maximise profits.

BUSINESS CHOICES

OPPORTUNITY COST:

- When choosing different alternatives, the opportunity cost is the benefit lost from the next best alternative to the one that has been chosen
- Choices: Deciding between alternative uses of resources
- Opportunity cost may be difficult to quantify because such costs may incur in the future
- There can be monetary and non-monetary opportunity cost (emotions/feelings of staffs and family)

NON-MONETARY OPPORTUNITY COST

These are opportunity costs that can't be measured in terms of value. Opportunity cost can sometimes be personal as well. For example, an entrepreneur might reinvest the profit in the business at the expense of a family holiday. The opportunity cost of this decision might be overwork and disappointed children.

TRADE-OFFS:

Where a decision maker faces a compromise between two different alternatives. Meaning that both things can't be done together without compromising another.

One very important trade-off is that between risk and reward. It is often necessary to take bigger risks in order to receive higher rewards.

Initially one important decision for an entrepreneur is whether to set up a business in the first place.

- Benefits of running your own business:
 - Independence (control/free to make own decisions)
 - Flexibility (life balance)
 - The chance to make money than might be earned in employment
 - Job satisfaction and sense of achievement in building something from nothing
 - The chance of becoming rich (millionaires)
- However there is a Trade-off:
 - Financial security that a regular salary from employment often provides
 - Health insurance, employee pensions, holiday pay and sick leave that employment offers
- Challenges in running a business:
 - Responsible for all day to day operations (if small)
 - A lack of free times (too much time in work-made even if at home)
 - Need a variety of kills (very demanding)
 - If Sole trader then will have unlimited liability

WEIGHING UP TRADE-OFFS: Actions to help find the right balance:

- 1) Obtain information (benefits and costs – weigh them)
- 2) Balance short term with long term (what might be given up in long term for short term gain -vice versa)
- 3) Measure support (weigh alternatives – view of others – weigh their opinions)

EXAM HINT

When businesses are making decisions in any aspect of their operations, there is likely to be an opportunity cost resulting from that decision. When answering questions, there may be a wide range of situations where you can apply the concept of opportunity cost. For example, in a question about pricing, you could discuss the opportunity costs of a price cut for the business. The use of opportunity cost can help to develop a balanced argument and may help you show skills of evaluation.

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